standard chartered

WS Global CIO Office
21 August 2026

Weekly Market View

Watching Warsh at Jackson Hole

→ US bond markets have reached a pain threshold for the Trump team after the 30-year yield rose to its highest since 2007.

→ The US Treasury's surprise announcement to “at least” double its bond buybacks is an attempt to curb the rise, but is unlikely to drag yields significantly lower.

→ Will the Fed help cap yields? Chair Warsh's speech at Jackson Hole will be in focus. We prefer 3-5-year maturity bonds. As the Treasury seeks to contain bond yields, a softer USD is likely to serve as the pressure release valve, benefitting gold.

→ Beyond bonds, our confidence in the AI theme has been bolstered by another stellar earnings season and on-the-ground meetings with AI industry leaders in the US and Asia.

→ We have significantly revised up our AI capex estimates for this year and out to 2030. This is bullish for equities, especially US technology and communications services sectors.

Do you see the US 10-year government bond yield breaking above 5%?

How has your Global High Dividend Yield equities opportunistic idea performed?

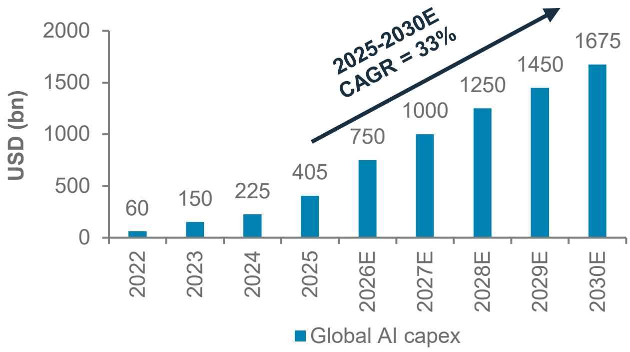
What is your outlook on GBP/USD after it reached a three-month high?

Charts of the week: Financial repression – US style?

Gold gained and USD fell on US plans to curb bond yields; we're more confident on the AI capex story on soaring demand

USD index (DXY) and gold price

Expected global AI capital expenditure until 2030



Source: Bloomberg, Company reports, Standard Chartered

Editorial

Watching Warsh at Jackson Hole

Strategy summary: US bond markets have reached a pain threshold for the Trump team after the 30-year yield rose to its highest since 2007. The US Treasury's surprise announcement to "at least" double its bond buybacks, with Treasury Secretary Bessent pledging to buy more if needed, is an attempt to curb the rise, but is unlikely to drag yields significantly lower. Will the Fed help cap yields? Chair Warsh's speech at Jackson Hole will be in focus. We prefer 3-5-year maturity bonds. As the Treasury seeks to contain bond yields, a softer USD is likely to serve as the pressure release valve, benefitting gold.

Beyond bonds, our confidence in the AI theme has been bolstered by another stellar earnings season and on-the-ground meetings with AI industry leaders in the US and Asia. We have significantly revised up our AI capex estimates for this year and out to 2030. This is bullish for equities, especially US technology and communications services sectors.

Bond yields reach a pain threshold. The US Treasury's plan to "at least" double buybacks of 10-30-year bonds to USD 4bn suggests yields have reached a pain threshold for the Trump administration. However, the move is modest relative to the USD 30tn stock of marketable Treasuries, so it is unlikely to drive yields significantly lower. Primary drivers of higher yields are rising US debt and monetary policy uncertainty, after the Warsh-led Fed abandoned forward guidance on rates. A deluge of bond issuance from the AI hyperscalers has fuelled the fire.

Will Warsh ease the bond market pain? Fiscal uncertainty is unlikely to fade soon, with US national debt just crossing USD 40tn and set to rise further with increased defence spending. There is scope, though, for the Warsh-led Fed to ease some monetary policy uncertainty by clarifying its reaction function — specifically, how long it is willing to keep rates on hold to see inflation return to its 2% target. All eyes will be on Chair Warsh's Jackson Hole speech for a signal, if not forward guidance.

Incoming data should help Fed hold rates. The recent run of US macro data — softer payrolls, cooling inflation and a drop in retail sales — supports our long-held non-consensus view that inflation peaked in Q2, while long-term inflation expectations stay subdued. The US statistical agency is also revising how it measures PCE inflation for portfolio and wealth management, software and legal services; these end-September changes should retroactively lower core PCE inflation over the past five years. Gradual disinflation, as oil and tariff pressures fade, should bring core inflation towards 2% by 2027, enabling the Fed to hold rates this year before cutting in 2027. The challenge for Warsh is keeping bond markets patient until then.

Rangebound yields, softer USD, bullish gold. With the US Treasury seeking to cap yields even as debt rises, we expect long bond yields to be rangebound. We prefer 3-5-year maturity bonds, which should benefit from continued disinflation and a softening job market. The USD is likely to serve as the pressure release valve — an outcome the Treasury should welcome, given its earlier joint intervention with Japan to strengthen the JPY. A softer USD should sustain the ongoing gold rally, while rangebound rather than rising yields is generally positive for equity valuations.

Further raising our AI capex forecasts. Following on-the-ground meetings with AI industry leaders in the US this month, we expect AI capex to grow 85% y/y in 2026 to USD 750bn, reaching USD 1tn in 2027. We have also lifted our long-term assumption to a 33% CAGR over 2025-30, from 32%. These forecasts are consistent with our meetings in Taiwan and Korea last month. We also see upside to hyperscalers' cloud revenues amid strong token demand and robust backlog growth.

Stronger conviction on AI and US tech. With revised capex forecasts and greater confidence in AI monetisation, we reiterate our positive view on Big Tech and semiconductors within our Global Tech allocation. Accelerating cloud demand, rising token demand and backlogs and sustained management commitment reinforce our conviction that the AI investment cycle remains in its early stages, with no signs of a slowdown.

— ***Rajat Bhattacharya and Sundeep Gantori***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

(+) factors: US Treasury debt buybacks, US-Canada trade deal

(-) factors: Slowing US consumer sentiment, weak China activity data, hawkish Fed meeting minutes

	Positive for risk assets	Negative for risk assets
Macro data	• Euro area and Germany ZEW Survey expectations of economic growth beat estimates in July	• US University of Michigan consumer sentiment index fell more than expected • US core retail sales fell unexpectedly in July • China retail sales grew less than expected, with weaking industrial output
	Our assessment: Negative – Slowing US consumer sentiment, weak China activity data	
Policy developments	• US Treasury unexpectedly announced it will "at least" double the size of its debt buyback operations for longer-dated bonds	• July Fed meeting minutes revealed hawkish rate debate • RBA Deputy Governor Hauser warned further rate hikes may be needed if inflation fails to moderate
	Our assessment: Neutral – US Treasury debt buyback plan vs. hawkish Fed meeting minutes	
Other developments	• US President Trump said trade deal with Canada has been reached and has paused the 50% tariffs plan for 3 days	• Iran said the Strait of Hormuz will remain closed until US fulfils its commitments under the Memorandum of Understanding • President Trump said no ongoing dialogue with Iran to end the war, and no discussions scheduled • Trump announced new tariffs of up to 100% on imported drones and their parts • EU planned to expand sanctions against Russia
	Our assessment: Negative – Ongoing Middle East geopolitical tensions	

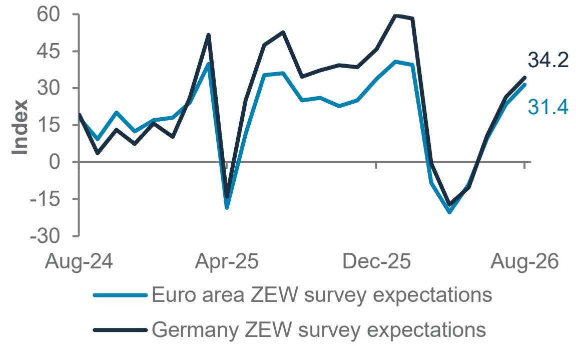
US retail sales contracted sharply m/m in July, while consumer sentiment declined in August

US Michigan consumer sentiment and retail sales control group (core retail sales)

Source: Bloomberg, Standard Chartered

Euro area and German expectations for economic growth exceeded expectations, marking the third consecutive month of improvement

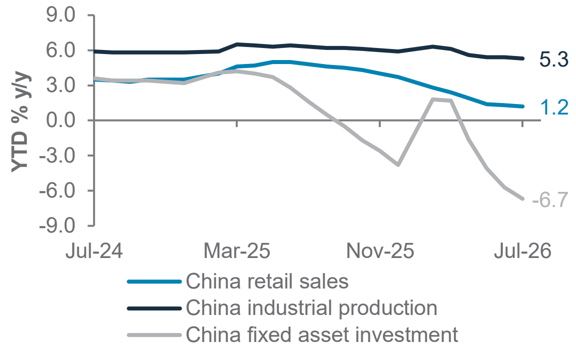
Euro area and Germany ZEW survey expectations



Source: Bloomberg, Standard Chartered

China's economic data for July showed broad-based domestic weakness

China retail sales, industrial production and fixed asset investment growth



Source: Bloomberg, Standard Chartered

Top client questions

Do you see the US 10-year government bond yield breaking above 5%?

Our view: We believe a decisive break above 5% on the 10-year US government bond yield is unlikely. We expect yields to consolidate within the 4.50-4.75% range, treating any surge above the upper bound as an opportunity to add. For now, we prefer patience over reaching for long-dated bonds.

Rationale: With the 10-year US government bond yield at c.4.65%, some 35bps separate the market from the 5% threshold – a modest gap, given the recent move's velocity. The stress is concentrated at the tail, where the **30-year US bond yield breached 5.30% briefly** (a near-20-year high) before retracing on the US Treasury's expanded buyback plan. **Medium-term yields have risen far less than very long-term ones**, suggesting investors are demanding a **higher term premium** – ie, extra compensation for holding very long-dated bonds – rather than pricing in a change to the Fed's policy path, which typically moves the shorter end of the yield curve.

We believe three factors are compounding this: Middle East conflict-driven **oil above USD 90/bbl** is rebuilding the inflation risk premium; **AI-fuelled corporate issuance** is competing for the same pool of long-duration capital; and **waning foreign demand** is eroding price-insensitive bids for government bonds. **Softer US macro data** is the sole counterweight but alone has failed to rally the long end. The Treasury's bond buyback plan signals a willingness to actively manage disorderly long-end yield moves ('Bessent put'). However, the bid looks more like a cushion for volatility spikes than a catalyst.

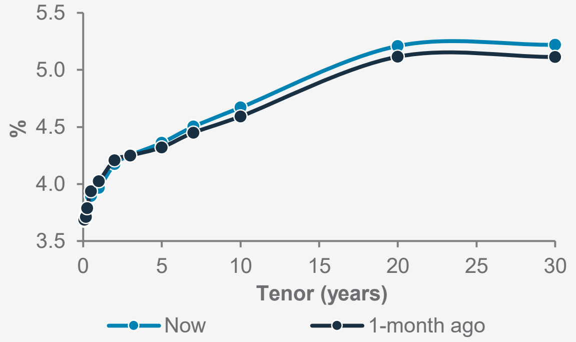
The **July Fed minutes** suggest that, given elevated inflation and the risk of upside surprises, policymakers are weighing the case for further hikes, though most participants prefer to **await more data** before moving. Set against that, data releases since the meeting have softened: **wage growth has been slowing**, **July retail sales fell** for the first time in nine months and **housing starts declined** as mortgage rates (closely tied to long-end yields) weigh on the property sector. Together, these should keep the **Fed on hold through year-end**. With the Fed funds rate anchored, the front end should exert a gravitational pull against a disorderly repricing further out the curve.

Absent upside inflation surprises, we expect the 10-year yield to consolidate within **4.50-4.75%**. Overshoots above 5% are likely to be temporary. We would treat any move above 4.75% as an opportunity to add. For now, we **prefer patience to reaching for long-dated bonds.** Headline risk and issuance overhang at the long end argue against extending duration at current levels. With rate volatility concentrated at the tail, we see a compelling case for floating-rate and shorter-duration alternatives as portfolio diversifiers, with our opportunistic idea on AAA CLOs being a good example. Investors should weigh the benefits against geopolitical risk, wider spreads in areas such as mortgage-backed securities and deteriorating covenant protections in parts of the leveraged credit market**.**

— **Cedric Lam**, *Senior Investment Strategist*

Long-end yields have risen more than the rest of the US bond yield curve over the past month

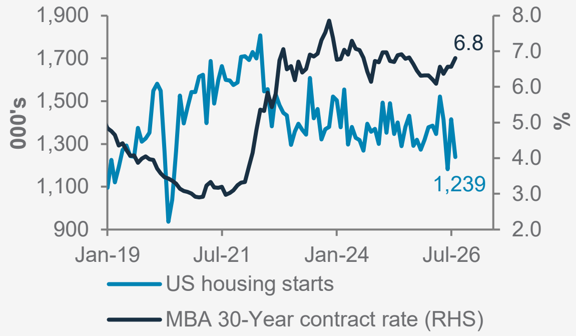
US government bond yield curve (%)



Source: Bloomberg, Standard Chartered

High mortgage rates are weighing on the US property sector

US housing starts, Mortgage Bankers Association (MBA) 30-year contract rate



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What does China's latest Q2 earnings season tell us?

Our view: China's Q2 earnings season has fared well, with modest upgrades to full-year 2026 earnings growth forecasts. We remain Overweight China equities, given policy support, AI localisation tailwinds and undemanding valuations.

Rationale: China's Q2 earnings season has fared well, with full-year 2026 earnings growth forecasts now upgraded to 12.5% y/y. However, **the upside is not broad-based. AI infrastructure**, **pharmaceuticals** and **energy** are delivering strong results, while **autos** are also beating forecasts by compensating for sluggish domestic demand with robust exports. In contrast, **consumer-facing businesses** – such as food and beverage, apparel and property – continue to struggle under the weight of **soft domestic demand** and **weak household consumption**. **Internet names** are betting on cloud as the main source of upside, as hefty AI investments pressure cash flows and margins in Q2.

We remain **Overweight China equities** within Asia ex-Japan on **policy support** and **AI localisation tailwinds**, including the national AI fund, over CNY 35trn of 'Six Networks' infrastructure spend concentrated in the 15th Five-year Plan, over 80% domestic-hardware mandates, the anti-involution campaign and equity-market revitalisation efforts, all of which point to a **positive outlook**. **Valuations also appear undemanding** relative to the tech innovation and AI opportunity**,** with the **12-month forward price-to-earnings (P/E) ratio** trading at 11x vs. a 12x five-year average.

— **Cindy Lam, CFA,** *Senior Investment Strategist*

China's 2026 earnings growth forecasts have seen steady upgrades since June

2026 and 2027 consensus earnings growth projections for MSCI China

Source: FactSet, Standard Chartered

How has your Global High Dividend equity opportunistic idea performed since launch? Is it likely to be resilient across different market environments?

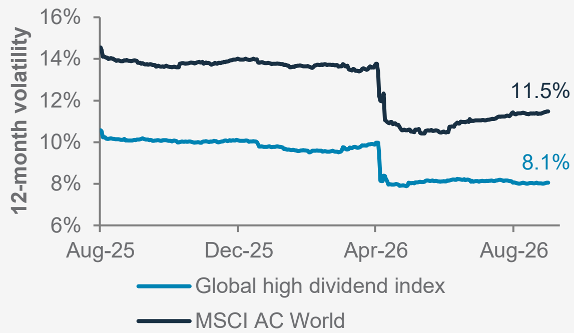
Our view: Our Global High Dividend idea has returned 6.9% since inception on 18 June 2026, outperforming the MSCI All Country World Index (ACWI) by 532bps in USD terms through 20 August. Bloomberg data shows a forward dividend yield of 4.9% vs. 1.9% for ACWI, along with lower volatility.

Rationale: To assess resilience across market environments, Bloomberg data since 2015 shows the Global High Dividend Index's **median drawdown** was 9.0% vs. 10.9% for ACWI. Resilience was clearest in 2022, when inflation and rising rates pressured growth stocks: volatility was 16.3% vs. 19.4%, maximum drawdown was 22.2% vs. 26.4% and returns were -7.0% vs. -18.4%. Conversely, during the 2020 COVID-19 pandemic shock, both volatility and maximum drawdown were higher than for ACWI. Overall, the record supports the idea's role as a **higher-income equity allocation with modest downside cushioning** on balance, rather than an all-weather defensive strategy.

— **Robin Xie, CFA**, *Senior Investment Strategist*

Global High Dividend Index has exhibited lower volatility than ACWI, especially in recent years

12-month rolling volatility of the Global High Dividend Index and MSCI ACWI



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Does the Swiss franc's (CHF's) recent strength suggest a shift in safe haven flows from the USD to the CHF? Do you see any overspill to gold?

Our view: CHF strength reflects both increased safe haven demand and broad USD weakness. Gold is also benefiting from these factors.

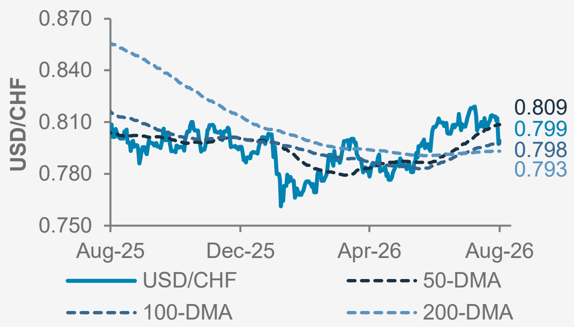
Rationale: The US Treasury's bond buyback announcement has lowered US government bond yields and weakened the USD. US **fiscal and bond-market outlook concerns support demand for the CHF and gold**. However, this does not imply a complete shift in safe-haven flows from the USD to the CHF. Instead, this suggests that **broad USD repricing remains an important driver**. Moreover, the **buybacks are small** relative to the c.USD 30trn government bond market and are primarily intended to improve market liquidity.

Our **USD/CHF forecast of 0.78** is supported by softer US inflation and labour market data, which has reduced further Fed tightening expectations. The CHF also benefits from Switzerland's current-account surplus, low government debt, policy stability and safe-haven status. However, **low Swiss inflation**, **the SNB's 0% policy rate** and **possible intervention** suggest the move is unlikely to be one-way. Gold's break above USD 4,400/oz strengthens its technical outlook. We remain **constructive on gold**, targeting USD 4,900/oz, although the rapid rally increases **near-term profit-taking risk**.

— **Iris Yuen**, *Investment Strategist*

USD/CHF faces further downside risk as the USD reprices

USD/CHF and technicals



Source: Bloomberg, Standard Chartered

What is your outlook on GBP/USD after it reached a three-month high recently?

Our view: A restrictive BoE stance and continued USD weakness are expected to support the GBP in the near term. However, the move above 1.36 appears stretched. Investors with long GBP positions can consider partly locking in gains while retaining some exposure should USD weakness extend.

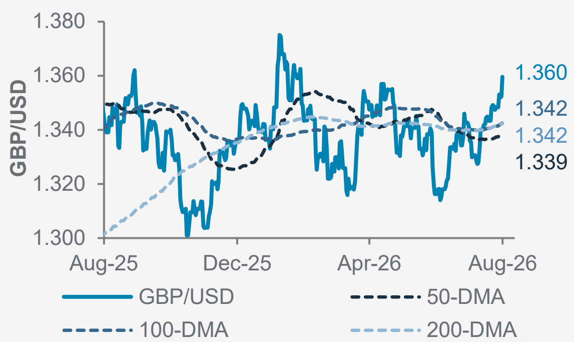
Rationale: GBP/USD's rise to a three-month high has been driven mainly by **broad USD weakness**, recently reinforced by the US Treasury's **expanded bond buybacks** and **lower long-dated US government bond yields**, rather than a stronger UK outlook.

Domestic support for the GBP is less convincing. The **UK unemployment rate** has risen to 4.9%, **job vacancies** have fallen to their lowest since 2021 and **private-sector wage** growth has slowed to 2.8% y/y, its weakest since 2020. Meanwhile, UK **headline inflation** rose from 2.6% y/y to 2.9% y/y in July, largely due to higher household energy costs. This leaves the BoE facing **weaker growth** and **externally driven inflation**. GBP/USD is likely to remain supported if USD weakness continues, but its rapid rise above 1.36 raises the risk of near-term consolidation towards 1.35.

— **Iris Yuen**, *Investment Strategist*

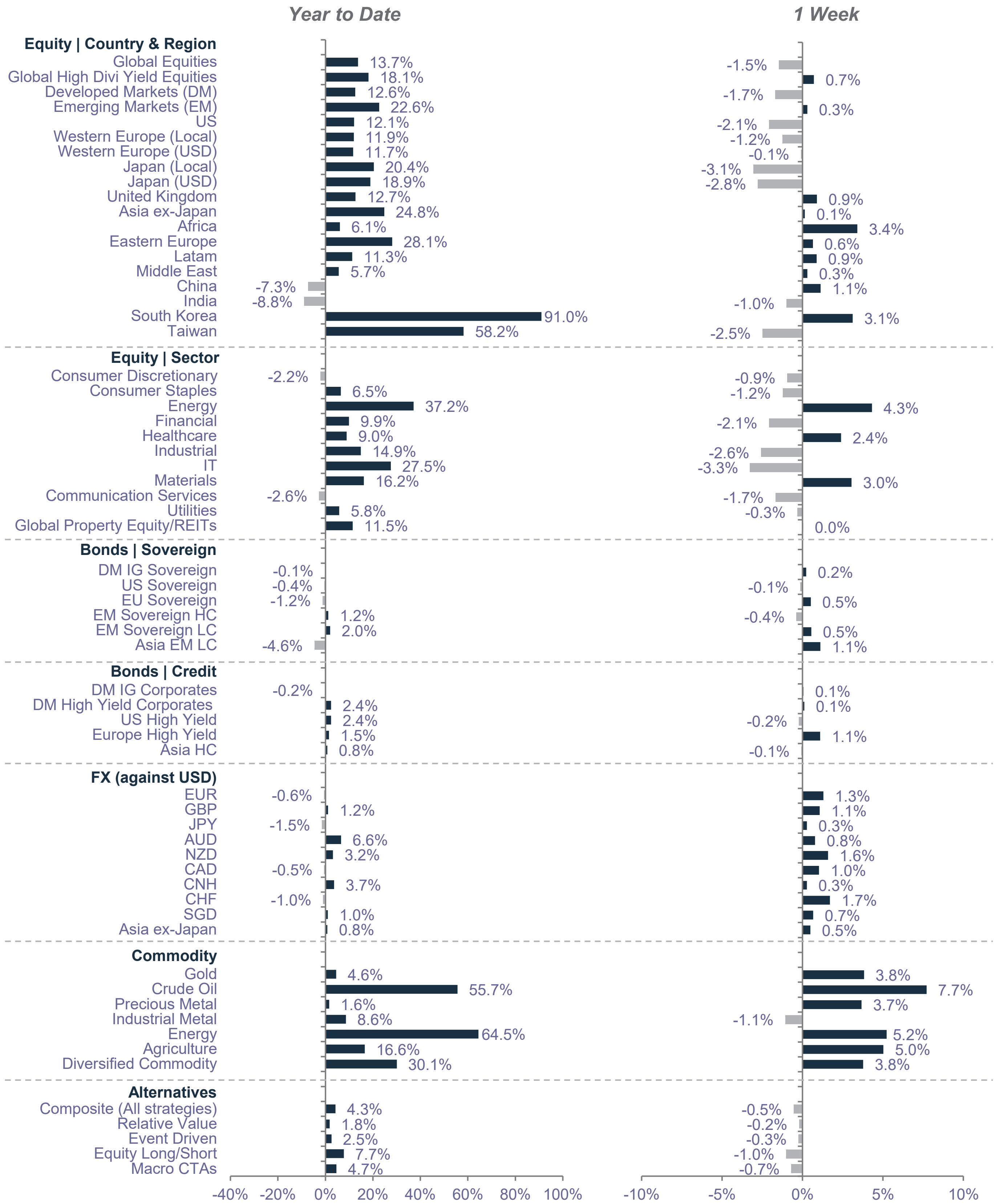
GBP/USD is approaching overbought territory; we expect a near-term moderate technical correction

GBP/USD and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 20 August 2026; 1-week period: 13 August 2026 to 20 August 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	Europe ex-UK Financials	▲
Japan	◆	Europe ex-UK Industrials	▲
Other EM	◆	Japan Financials	▲
		China Communication	▲
Bonds	◆	China Technology	▲
Credit		**Govt**	
Asia USD	◆	Govt EM Local	◆
Corp DM HY	◆	Govt DM IG	▼
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
		Gold	◆

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market Event		Period	Expected	Prior
MON	USD	Chicago Fed Nat Activity Index	Jul	–	-0.02
TUE	EUR	Germany IFO Business Climate	Aug	–	86.6
	EUR	Germany IFO Current Assessment	Aug	–	86.5
	EUR	Germany IFO Expectations	Aug	–	86.7
	USD	Conf. Board Consumer Confidence	Aug	90.2	90.8
WED	USD	Personal Income	Jul	0.2%	0.2%
	USD	PCE Price Index y/y	Jul	3.6%	3.7%
	USD	Core PCE Price Index y/y	Jul	3.3%	3.3%
	USD	Durable Goods Orders	Jul P	0.5%	0.5%
	USD	GDP Annualized QoQ	2Q S	1.5%	1.5%
THU	USD	Jackson Hole Economic Policy Symposium	27-29 Aug	–	–
	CNH	Industrial Profits y/y	Jul	–	15.1%
	EUR	GfK Consumer Confidence	Sep	–	-29.6
FRI/SAT	EUR	Economic Confidence	Aug	–	96.9
	EUR	Industrial Confidence	Aug	–	-6.1
	EUR	Services Confidence	Aug	–	4.7

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,867

Technical indicators for key markets as of 20 Aug close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,641	7,364	7,867	19.6	1.2
STOXX 50	6,422	6,220	6,600	15.2	3.1
FTSE 100	10,748	10,491	10,997	12.9	4.0
TOPIX	4,060	3,887	4,227	16.2	2.3
Shanghai Comp	3,904	3,767	4,017	12.8	3.1
Hang Seng	25,698	24,938	26,323	10.7	3.4
Nifty 50	24,232	23,634	24,802	18.2	1.8
MSCI Asia ex-Japan	1,127	1,041	1,180	10.0	2.4
MSCI EM	1,700	1,580	1,772	9.8	2.8
Crude oil (WTI)	87.8	76.9	96.1	na	na
Gold	4,517	4,161	4,706	na	na
UST 10Y Yield	4.70	4.61	4.77	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 20 Aug close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.77
Global Equities	●	↑	1.61
Gold	●	↑	2.17
Equity			
MSCI US	●	↑	1.65
MSCI Europe	◐	↓	1.42
MSCI AC AXJ	●	↑	1.96
Fixed Income			
DM Corp Bond	●	↑	2.04
DM High Yield	◐	→	1.49
EM USD	●	→	1.67
EM Local	◐	↓	1.41
Asia USD	●	→	1.81
Currencies			
EUR/USD	●	↑	1.73

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

Access our views 24/7 on key platforms

Market views on-the-go

MVOG

SC Wealth Insights

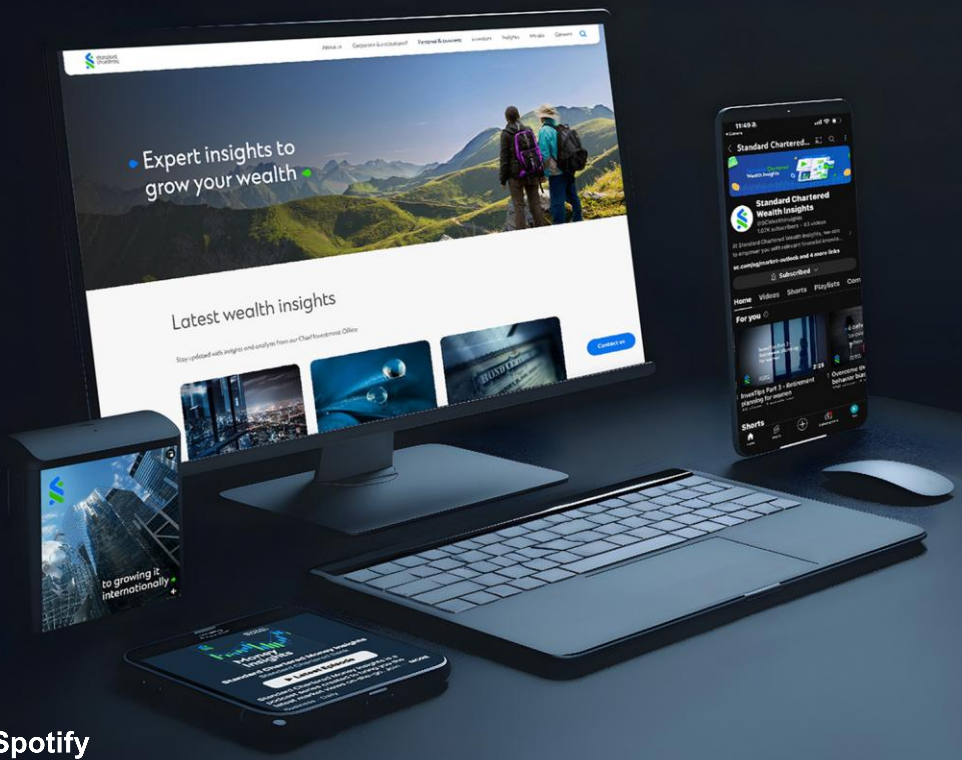
Find out more

YouTube

Facebook

LinkedIn

PvB LinkedIn



SC Money Insights

4 podcasts shows on Spotify and Apple platforms

Spotify

Apple Podcasts

Speak to your Relationship Manager/Investment Advisor today for access to our security specific publications.

Disclosures

This document is confidential and may also be privileged. If you are not the intended recipient, please destroy all copies and notify the sender immediately. This document is being distributed for general information only and is subject to the relevant disclaimers available at our Standard Chartered website under Regulatory disclosures. It is not and does not constitute research material, independent research, an offer, recommendation or solicitation to enter into any transaction or adopt any hedging, trading or investment strategy, in relation to any securities or other financial instruments. This document is for general evaluation only. It does not take into account the specific investment objectives, financial situation or particular needs of any particular person or class of persons and it has not been prepared for any particular person or class of persons. You should not rely on any contents of this document in making any investment decisions. Before making any investment, you should carefully read the relevant offering documents and seek independent legal, tax and regulatory advice. In particular, we recommend you to seek advice regarding the suitability of the investment product, taking into account your specific investment objectives, financial situation or particular needs, before you make a commitment to purchase the investment product. Opinions, projections and estimates are solely those of SC at the date of this document and subject to change without notice. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. The value of investments, and the income from them, can go down as well as up, and you may not recover the amount of your original investment. You are not certain to make a profit and may lose money. Any forecast contained herein as to likely future movements in rates or prices or likely future events or occurrences constitutes an opinion only and is not indicative of actual future movements in rates or prices or actual future events or occurrences (as the case may be). This document must not be forwarded or otherwise made available to any other person without the express written consent of the Standard Chartered Group (as defined below). Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered PLC, the ultimate parent company of Standard Chartered Bank, together with its subsidiaries and affiliates (including each branch or representative office), form the Standard Chartered Group. Standard Chartered Global Private Bank is the private banking division of Standard Chartered. Private banking activities may be carried out internationally by different legal entities and affiliates within the Standard Chartered Group (each an “SC Group Entity”) according to local regulatory requirements. Not all products and services are provided by all branches, subsidiaries and affiliates within the Standard Chartered Group. Some of the SC Group Entities only act as representatives of Standard Chartered Global Private Bank and may not be able to offer products and services or offer advice to clients.

Market Abuse Regulation (MAR) Disclaimer

Banking activities may be carried out internationally by different branches, subsidiaries and affiliates within the Standard Chartered Group according to local regulatory requirements. Opinions may contain outright “buy”, “sell”, “hold” or other opinions. The time horizon of this opinion is dependent on prevailing market conditions and there is no planned frequency for updates to the opinion. This opinion is not independent of Standard Chartered Group’s trading strategies or positions. Standard Chartered Group and/or its affiliates or its respective officers, directors, employee benefit programmes or employees, including persons involved in the

preparation or issuance of this document may at any time, to the extent permitted by applicable law and/or regulation, be long or short any securities or financial instruments referred to in this document or have material interest in any such securities or related investments. Therefore, it is possible, and you should assume, that Standard Chartered Group has a material interest in one or more of the financial instruments mentioned herein. Please refer to our Standard Chartered website under Regulatory disclosures for more detailed disclosures, including past opinions/ recommendations in the last 12 months and conflict of interests, as well as disclaimers. A covering strategist may have a financial interest in the debt or equity securities of this company/issuer. All covering strategist are licensed to provide investment recommendations under Monetary Authority of Singapore or Hong Kong Monetary Authority. This document must not be forwarded or otherwise made available to any other person without the express written consent of Standard Chartered Group.

Sustainable Investments

Any ESG data used or referred to has been provided by Morningstar, Sustainalytics, MSCI or Bloomberg. Refer to 1) Morningstar website under Sustainable Investing, 2) Sustainalytics website under ESG Risk Ratings, 3) MCSI website under ESG Business Involvement Screening Research and 4) Bloomberg green, social & sustainability bonds guide for more information. The ESG data is as at the date of publication based on data provided, is for informational purpose only and is not warranted to be complete, timely, accurate or suitable for a particular purpose, and it may be subject to change. The ESG data providers may not provide data coverage of all companies or securities in our Sustainable Investment Universe or Fund Select funds. As a result, a small subset of companies or securities will not be in scope for exclusionary screening. Sustainable Investments (SI): This refers to funds that have been classified as 'ESG Intentional Investments - Overall' by Morningstar. SI funds have explicitly stated in their prospectus and regulatory filings that they either incorporate ESG factors into the investment process or have a thematic focus on the environment, gender diversity, low carbon, renewable energy, water or community development. For equity, it refers to shares/stocks issued by companies with Sustainalytics ESG Risk Rating of Low/Negligible. For bonds, it refers to debt instruments issued by issuers with Sustainalytics ESG Risk Rating of Low/Negligible, and/or those being certified green, social, sustainable bonds by Bloomberg. For structured products, it refers to products that are issued by any issuer who has a Sustainable Finance framework that aligns with Standard Chartered's Green and Sustainable Product Framework, with underlying assets that are part of the Sustainable Investment universe or separately approved by Standard Chartered's Sustainable Finance Governance Committee. Sustainalytics ESG risk ratings shown are factual and are not an indicator that the product is classified or marketed as "green", "sustainable" or similar under any particular classification system or framework.

Shariah ("Shariah Compliant or Shariah Compliance")

For any reason to enter only into transactions which comply or are consistent with the principles of the Shariah, the client certifies that he/she/it has made his /her/its own investigation into and satisfied itself as to the Shariah compliance of the Islamic security and all necessary action to confirm that the Islamic security is Shariah compliant has been taken (including the obtaining of a fatwa, where required) and the Client will not claim any dispute on the grounds of any lack of Shariah compliance of these investments. The Client has not relied on Standard Chartered Group or any written declaration, fatwa, opinion or other documents prepared by, on behalf or at the request of Standard Chartered Group for the purposes of a determination or confirmation that these instruments are Shariah compliant.

Country/Market Specific Disclosures

Bahrain: This document is being distributed in Bahrain by Standard Chartered Bank, Bahrain Branch, having its address at P.O. 29, Manama, Kingdom of Bahrain, is a branch of Standard Chartered Bank and is licensed by the Central Bank of Bahrain as a conventional retail bank. **Botswana:** This document is being distributed in Botswana by, and is attributable to, Standard Chartered Bank Botswana Limited which is a financial institution licensed under the Section 6 of the Banking Act CAP 46.04 and is listed in the Botswana Stock Exchange. **Brunei Darussalam:** This document is being distributed in Brunei Darussalam by, and is attributable to, Standard Chartered Bank (Brunei Branch) | Registration Number RFC/61 and Standard Chartered Securities (B) Sdn Bhd | Registration Number RC20001003. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. Standard Chartered Securities (B) Sdn Bhd is a limited liability company registered with the Registry of Companies with Registration Number RC20001003 and licensed by Brunei Darussalam Central Bank as a Capital Markets Service License Holder with License Number BDCB/R/CMU/S3-CL and it is authorised to conduct Islamic investment business through an Islamic window. **China Mainland:** This document is being distributed in China by, and is attributable to, Standard Chartered Bank (China) Limited which is mainly regulated by National Financial Regulatory Administration (NFRA), State Administration of Foreign Exchange (SAFE), and People's Bank of China (PBOC). **Hong Kong:** In Hong Kong, this document, except for any portion advising on or facilitating any decision on futures contracts trading, is distributed by Standard Chartered Bank (Hong Kong) Limited ("SCBHK"), a subsidiary of Standard Chartered PLC. SCBHK has its registered address at 32/F, Standard Chartered Bank Building, 4-4A Des Voeux Road Central, Hong Kong and is regulated by the Hong Kong Monetary Authority and registered with the Securities and Futures Commission ("SFC") to carry on Type 1 (dealing in securities), Type 4 (advising on securities), Type 6 (advising on corporate finance) and Type 9 (asset management) regulated activity under the Securities and Futures Ordinance (Cap. 571) ("SFO") (CE No. AJI614). The contents of this document have not been reviewed by any regulatory authority in Hong Kong and you are advised to exercise caution in relation to any offer set out herein. If you are in doubt about any of the contents of this document, you should obtain independent professional advice. Any product named herein may not be offered or sold in Hong Kong by means of any document at any time other than to "professional investors" as defined in the SFO and any rules made under that ordinance. In addition, this document may not be issued or possessed for the purposes of issue, whether in Hong Kong or elsewhere, and any interests may not be disposed of, to any person unless such person is outside Hong Kong or is a "professional investor" as defined in the SFO and any rules made under that ordinance, or as otherwise may be permitted by that ordinance. In Hong Kong, Standard Chartered Global Private Bank is the private banking division of SCBHK, a subsidiary of Standard Chartered PLC. **Ghana:** Standard Chartered Bank Ghana Limited accepts no liability and will not be liable for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to feedback.ghana@sc.com. Please do not reply to this email. Call our Priority Banking on 0302610750 for any questions or service queries. You are advised not to send any confidential and/or important information to Standard Chartered via e-mail, as Standard Chartered makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. Standard Chartered shall not be responsible for any loss or damage suffered by you arising from your decision to use e-mail to communicate with the Bank. **India:** This document is being distributed in India by Standard Chartered in its capacity as a distributor of mutual funds and referrer of any other third party financial products. Standard Chartered does not offer any 'Investment Advice' as defined in the Securities and Exchange Board of India (Investment Advisers) Regulations, 2013 or otherwise. Services/products related securities business offered by Standard Charted are not intended for any person, who is a resident of any jurisdiction, the laws of which imposes prohibition on soliciting the securities business in that jurisdiction without going through the registration requirements and/or prohibit the use of any information contained in this document. **Indonesia**: This document is being distributed in Indonesia by Standard Chartered Bank, Indonesia branch, which is a financial institution licensed and supervised by Otoritas Jasa Keuangan (Financial Service Authority) and Bank Indonesia. **Jersey:** In Jersey, Standard Chartered Global Private Bank is the Registered Business Name of the Jersey Branch of Standard Chartered Bank. The Jersey Branch of Standard Chartered Bank is regulated by the Jersey Financial Services Commission. Copies of the latest audited accounts of Standard Chartered Bank are available from its principal place of business in Jersey: PO Box 80, 15 Castle Street, St Helier, Jersey JE4 8PT. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter in 1853 Reference Number ZC 18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. The Jersey Branch of Standard Chartered Bank is also an authorised financial services provider under license number 44946 issued by the Financial Sector Conduct Authority of the Republic of South Africa. Jersey is not part of the United Kingdom and all business transacted with Standard Chartered Bank, Jersey Branch and other SC Group Entity outside of the United Kingdom, are not subject to some or any of the investor protection and compensation schemes available under United Kingdom law. **Kenya:** This document is being distributed in Kenya by and is attributable to Standard Chartered Bank Kenya Limited. Investment Products and Services are distributed by Standard Chartered Investment Services Limited, a wholly owned subsidiary of Standard Chartered Bank Kenya Limited that is licensed by the Capital Markets Authority in Kenya, as a Fund Manager. Standard Chartered Bank Kenya Limited is regulated by the Central Bank of Kenya. **Malaysia:** This document is being distributed in Malaysia by Standard Chartered Bank Malaysia Berhad ("SCBMB"). Recipients in Malaysia should contact SCBMB in relation to any matters arising from, or in connection with, this document. This document has not been reviewed by the Securities Commission Malaysia. The product lodgement, registration, submission or approval by the Securities Commission of Malaysia does not amount to nor indicate recommendation or endorsement of the product, service or promotional activity. Investment products are not deposits and are not obligations of, not guaranteed by, and not protected by SCBMB or any of the affiliates or subsidiaries, or by Perbadanan Insurans Deposit Malaysia, any government or insurance agency. Investment products are subject to investment risks, including the possible loss of the principal amount invested. SCBMB expressly disclaim any liability and responsibility for any loss arising directly or indirectly (including special, incidental or consequential loss or damage) arising from the financial losses of the Investment Products due to market condition. **Nigeria:** This document is being distributed in Nigeria by Standard Chartered Bank Nigeria Limited (SCB Nigeria), a bank duly licensed and regulated by the Central Bank of Nigeria. SCB Nigeria accepts no liability for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to clientcare.ng@sc.com requesting to be removed from our mailing list. Please do not reply to this email. Call our Priority Banking on 02 012772514 for any questions or service queries. SCB Nigeria shall not be responsible for any loss or damage arising from your decision to send confidential and/or important information to Standard Chartered via e-mail. SCB Nigeria makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. **Pakistan:** This document is being distributed in Pakistan by, and attributable to Standard Chartered Bank (Pakistan) Limited having its registered office at PO Box 5556, I.I Chundrigar Road Karachi, which is a banking company registered with State Bank of Pakistan under Banking Companies Ordinance 1962 and is also having licensed issued by Securities & Exchange Commission of Pakistan for Security Advisors. Standard Chartered Bank (Pakistan) Limited acts as a distributor of mutual funds and referrer of other third-party financial products. **Singapore:** This document is being distributed in Singapore by, and is attributable to, Standard Chartered Bank (Singapore) Limited (Registration No. 201224747C/ GST Group Registration No. MR-8500053-0, “SCBSL”). Recipients in Singapore should contact SCBSL in relation to any matters arising from, or in connection with, this document. SCBSL is an indirect wholly owned subsidiary of Standard Chartered Bank and is licensed to conduct banking business in Singapore under the Singapore Banking Act, 1970. Standard Chartered Global Private Bank is the private banking division of SCBSL. IN RELATION TO ANY SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT REFERRED TO IN THIS DOCUMENT, THIS DOCUMENT, TOGETHER WITH THE ISSUER DOCUMENTATION, SHALL BE DEEMED AN INFORMATION MEMORANDUM (AS DEFINED IN SECTION 275 OF THE SECURITIES AND FUTURES ACT, 2001 (“SFA”)). THIS DOCUMENT IS INTENDED FOR DISTRIBUTION TO ACCREDITED INVESTORS, AS DEFINED IN SECTION 4A(1)(a) OF THE SFA, OR ON THE BASIS THAT THE SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT MAY ONLY BE ACQUIRED AT A CONSIDERATION OF NOT LESS THAN S$200,000 (OR ITS EQUIVALENT IN A FOREIGN CURRENCY) FOR EACH TRANSACTION. Further, in relation to any security or securities-based derivatives contract, neither this document nor the Issuer Documentation has been registered as a prospectus with the Monetary Authority of Singapore under the SFA. Accordingly, this document and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of the product may not be circulated or distributed, nor may the product be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons other than a relevant person pursuant to section 275(1) of the SFA, or any person pursuant to section 275(1A) of the SFA, and in accordance with the conditions specified in section 275 of the SFA, or pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA. In relation to any collective investment schemes referred to in this document, this document is for general information purposes only and is not an offering document or prospectus (as defined in the SFA). This document is not, nor is it intended to be (i) an offer or solicitation of an offer to buy or sell any capital markets product; or (ii) an advertisement of an offer or intended offer of any capital markets product. Deposit Insurance Scheme: Singapore dollar deposits of non-bank depositors are insured by the Singapore Deposit Insurance Corporation, for up to S$100,000 in aggregate per depositor per Scheme member by law. Foreign currency deposits, dual currency investments, structured deposits and other investment products are not insured. This advertisement has not been reviewed by the Monetary Authority of Singapore. **Taiwan:** SC Group Entity or Standard Chartered Bank (Taiwan) Limited (“SCB (Taiwan)”) may be involved in the financial instruments contained herein or other related financial instruments. The author of this document may have discussed the information contained herein with other employees or agents of SC or SCB (Taiwan). The author and the above-mentioned employees of SC or SCB (Taiwan) may have taken related actions in respect of the information involved (including communication with customers of SC or SCB (Taiwan) as to the information contained herein). The opinions contained in this document may change, or differ from the opinions of employees of SC or SCB (Taiwan). SC and SCB (Taiwan) will not provide any notice of any changes to or differences between the above-mentioned opinions. This document may cover companies with which SC or SCB (Taiwan) seeks to do business at times and issuers of financial instruments. Therefore, investors should understand that the information contained herein may serve as specific purposes as a result of conflict of interests of SC or SCB (Taiwan). SC, SCB (Taiwan), the employees (including those who have discussions with the author) or customers of SC or SCB (Taiwan) may have an interest in the products, related financial instruments or related derivative financial products contained herein; invest in those products at various prices and on different market conditions; have different or conflicting interests in those products. The potential impacts include market makers' related activities, such as dealing, investment, acting as agents, or performing financial or consulting services in relation to any of the products referred to in this document. **UAE:** DIFC - Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18.The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered Bank, Dubai International Financial Centre having its offices at Dubai International Financial Centre, Building 1, Gate Precinct, P.O. Box 999, Dubai, UAE is a branch of Standard Chartered Bank and is regulated by the Dubai Financial Services Authority (“DFSA”). This document is intended for use only by Professional Clients and is not directed at Retail Clients as defined by the DFSA Rulebook. In the DIFC we are authorised to provide financial services only to clients who qualify as Professional Clients and Market Counterparties and not to Retail Clients. As a Professional Client you will not be given the higher retail client protection and compensation rights and if you use your right to be classified as a Retail Client we will be unable to provide financial services and products to you as we do not hold the required license to undertake such activities. For Islamic transactions, we are acting under the supervision of our Shariah Supervisory Committee. Relevant information on our Shariah Supervisory Committee is currently available on the Standard Chartered Bank website in the Islamic banking section. For residents of the UAE – Standard Chartered UAE ("SC UAE") is licensed by the Central Bank of the U.A.E. SC UAE is licensed by Securities and Commodities Authority to practice Promotion Activity. SC UAE does not provide financial analysis or consultation services in or into the UAE within the meaning of UAE Securities and Commodities Authority Decision No. 48/r of 2008 concerning financial consultation and financial analysis**. Uganda:** Our Investment products and services are distributed by Standard Chartered Bank Uganda Limited, which is licensed by the Capital Markets Authority as an investment adviser. **United Kingdom:** In the UK, Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. This communication has been approved by Standard Chartered Bank for the purposes of Section 21 (2) (b) of the United Kingdom's Financial Services and Markets Act 2000 ("FSMA") as amended in 2010 and 2012 only. Standard Chartered Bank (trading as Standard Chartered Global Private Bank) is also an authorised financial services provider (license number 45747) in terms of the South African Financial Advisory and Intermediary Services Act, 2002. The Materials have not been prepared in accordance with UK legal requirements designed to promote the independence of investment research, and that it is not subject to any prohibition on dealing ahead of the dissemination of investment research. V**ietnam:** This document is being distributed in Vietnam by, and is attributable to, Standard Chartered Bank (Vietnam) Limited which is mainly regulated by State Bank of Vietnam (SBV). Recipients in Vietnam should contact Standard Chartered Bank (Vietnam) Limited for any queries regarding any content of this document. **Zambia:** This document is distributed by Standard Chartered Bank Zambia Plc, a company incorporated in Zambia and registered as a commercial bank and licensed by the Bank of Zambia under the Banking and Financial Services Act Chapter 387 of the Laws of Zambia.

standard chartered

WS Global CIO Office
14 August 2026

Weekly Market View

Geopolitical stalemate, cooling jobs and inflation

→ The Middle East conflict appears to have entered a prolonged stalemate, with both sides hardening their position

→ Recent US data showed continued cooling inflation and a jobs market losing momentum, providing room for the Fed to remain on hold

→ The ECB may need to hike interest rates on the back of still-high natural gas prices. The BoJ is likely to hike one more time to stave off pressure on the yen and fight inflation

→ Equities remain well supported by still-strong earnings growth. The rally appears to be broadening. We recently initiated new sector ideas to further diversify our exposure

What is the investment case for US High Yield?

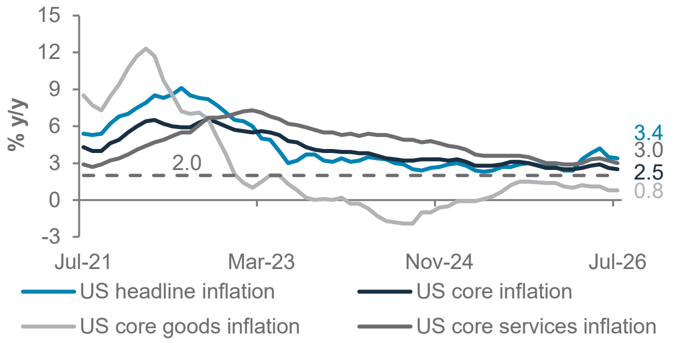
What is the outlook for China tech equities?

Will gold still be highly correlated to the Australian dollar?

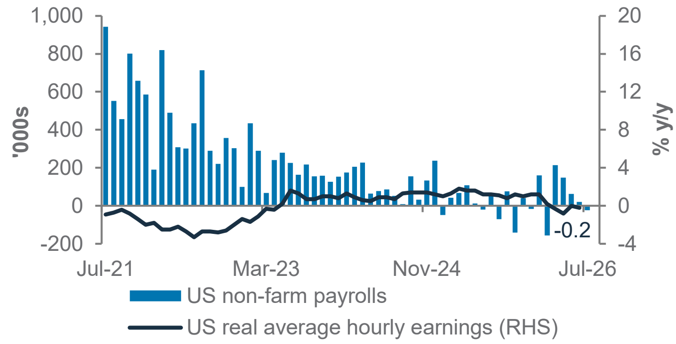
Charts of the week: Geopolitical stalemate, cooling jobs and inflation

US inflation continues to cool; July jobs report unexpectedly shows a contraction

US headline, core, core goods and core services inflation



US non-farm payrolls, real average hourly earnings growth



Source: Bloomberg, Standard Chartered

Editorial

Geopolitical stalemate, cooling jobs and inflation

Middle East conflict reaches a stalemate. The Middle East conflict appears to have entered a prolonged stalemate, with neither side showing a willingness to soften its position. Iran continues to insist on retaining a role in managing shipping traffic in the Strait of Hormuz, while President Trump has asserted that the United States has "total control" over the waterway and emphasised the effectiveness of the US naval blockade. Pakistan's foreign ministry has also indicated that the broader peace process has stalled.

While this impasse keeps geopolitical risk premium elevated, particularly for energy markets, recent action from both sides seem to suggest significant warfare fatigue. While energy prices will remain volatile, oil prices returning to March/April levels seem unlikely, which should help inflation. On the other hand, European natural gas prices have remained stuck around the highs we saw during the opening months of the conflict, which could have implications for monetary policy in the Euro area.

US labour market and inflation continue to cool. July's US inflation and employment data point to a further moderation in aggregate activity (except AI capex, which shows no signs of slowdown). Headline CPI inflation slowed to 3.4% year over year, while core inflation declined to 2.5%, its lowest level since 2021. At the same time, non-farm payrolls unexpectedly contracted by 23,000, and employment gains for May and June were revised lower as well. Together, these figures suggest that the stronger momentum in job growth seen during the spring has faded.

The combination of softer inflation and weaker hiring gives the Federal Reserve greater flexibility to remain patient. Policymakers will still feel some residual pressure to hike as inflation has been above target for several years now, but the direction of travel suggests such pressures are easing. Our base case, therefore, remains that the Fed will keep rates unchanged through year-end. This backdrop should limit upward pressure on US government bond yields at the short-to-intermediate end of the curve, although the uncertain US fiscal outlook could keep long end yields elevated, as epitomised by recent long bond auction results this week.

ECB and BoJ remain under pressure to tighten. The European Central Bank faces a more difficult trade-off. European natural gas prices remain close to the highs in March, increasing the risk that energy costs feed into headline inflation and inflation expectations. As an inflation-targeting-focused central bank, the ECB may feel compelled to tighten policy once more, even as regional growth remains fragile. We expect one more interest rate hike from the ECB before year-end.

The Bank of Japan also remains under pressure. Negative real yields and the still-wide interest-rate differential between Japan and the United States continue to weigh on the yen, despite earlier coordinated US-Japan intervention. Currency weakness could raise imported inflation and undermine the durability of intervention unless it is supported by quicker monetary policy normalisation. We, therefore, also expect the BoJ to deliver one additional rate increase before year-end.

Earnings continue to support US equity outperformance. US equities remain supported by a favourable combination of moderating bond yields and resilient corporate earnings. Softer economic data have reduced pressure on yields, while earnings results continue to demonstrate that corporate profitability remains healthy. This has allowed equities to generate positive returns, despite persistent geopolitical uncertainty.

Importantly, market leadership appears to be broadening beyond the largest tech companies. We have recently added ideas that improve portfolio diversification while retaining exposure to durable structural and cyclical themes. These include Global Power & Electrification, supported by rising electricity demand, grid investment and infrastructure modernisation, and US Financials, which should continue to benefit from strong capital markets activity.

— **Jonathan Liang, CFA**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

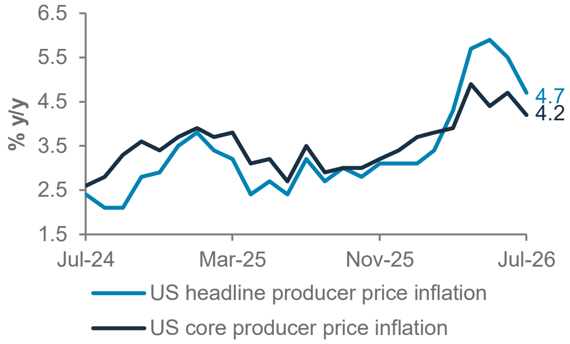
(+) factors: Slowing US inflation, positive Euro area investor confidence

(-) factors: RBA hawkish tone, escalating geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	• US non-farm payrolls fell unexpectedly by 23,000 in July, reducing Fed rate hike expectations • US headline consumer and producer price inflation fell more than expected in July • US NFIB small business optimism index beat estimates at 99.8 in July • Euro area Sentix Investor Confidence rose to 0.9 • China exports growth came in above estimates at 23.9% y/y in July	• China consumer and producer price index rose by 0.5% y/y and 3.5% y/y in July, below estimates
	Our assessment: Positive – Slowing US inflation and job market to keep Fed on hold; strong China export growth	
Policy developments	• China's central bank signalled continued loose monetary policy settings and will roll out measures as needed	• RBA kept rate unchanged as expected, but adopted a surprisingly hawkish tone • Fed's Hammack said a series of rate hikes may be needed to bring US inflation back to 2%
	Our assessment: Neutral – Potential China central bank accommodative policy vs. RBA on hold	
Other developments		• President Trump countered Iran's demands for war reparations by issuing his own sweeping financial demands • US and Houthis report two separate attacks on vessels across vital Middle Eastern waterways
	Our assessment: Negative – Escalating geopolitical tensions	

US headline and core producer price inflation fell to 4.7% y/y and 4.2% y/y in July, reinforcing signs of easing price pressures

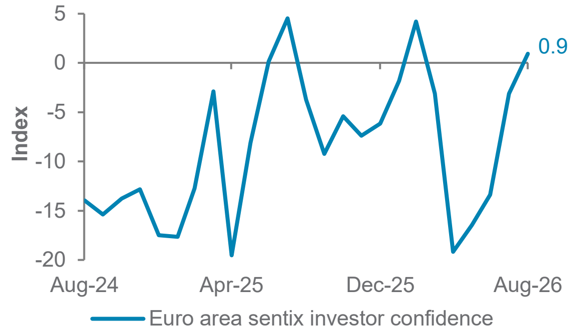
US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

Euro area Sentix Investor Confidence rose into positive territory for the first time since February

Euro area Sentix investor confidence index



Source: Bloomberg, Standard Chartered

China's consumer and producer price inflation eased more than expected in July, reflecting persistent domestic demand weakness

China consumer and producer price inflation

Source: Bloomberg, Standard Chartered

Top client questions

How has your global power & electrification Opportunistic idea performed? What are the key takeaways from Q2 earnings?

Our view: We remain constructive on the sector. Our global power & electrification Opportunistic idea has returned 7.8% since inception, outperforming the MSCI ACWI Index by 291bps in USD terms through 13 August 2026. Q2 results reinforced our thesis that surging AI and data centre power demand is lifting orders across power generation, grids, power management and energy storage, extending earnings visibility.

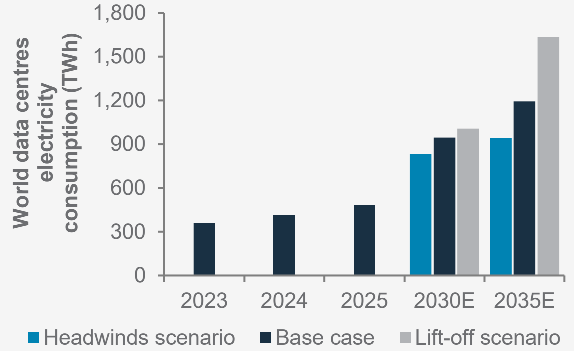
Rationale: Power availability is a growing bottleneck. Turbine delivery slots stretch years ahead, while grid suppliers benefit from **rising demand** for transformers, substations and transmission. A major US power equipment supplier's orders and backlog grew 32% and 8% q/q, respectively. A European peer's backlog rose 5% q/q.

Within data centres, demand for power distribution, cooling and back-up power shows **spending broadening beyond servers**. **Rising rack density** should lift power and cooling needs per facility. **Energy storage** is a smaller, but growing, contributor. A leading battery maker returned to profitability after seven loss-making quarters, helped by a shift from **EV batteries** to energy storage and AI back-up power. As deployment scales, energy storage should help balance **renewable output** and strengthen **grid resilience**.

— **Robin Xie, CFA**, *Senior Investment Strategist*

Surging AI and data centre power demand likely to drive a multi-year power grid and electrification investment cycle

Global data centre electricity consumption under various scenarios



Source: International Energy Agency, Standard Chartered

What are the implications of rising enthusiasm around China technology IPOs for China tech equities?

Our view: We remain Overweight China technology equities, with the Hang Seng Technology Index (HSTECH) among our Opportunistic ideas.

Rationale: China tech equities remain supported by China's policies promoting **innovation**, **supply-chain localisation** and **tech self-reliance**. Strong demand for recent tech IPOs signals a **structural re-rating around AI**. New listings are likely to broaden participation and direct capital towards semiconductors, robotics and AI.

HSTECH remains one of our Opportunistic ideas, despite a **13%** year-to-date (YTD) decline. While rising AI investment is weighing on sentiment towards some internet platforms, **AI should fuel monetisation** across existing and emerging businesses. **Strong cash generation** from core operations can help fund these initiatives. The June inclusion of pure-play AI-model companies in HSTECH marks a structural change that should improve the index's sensitivity to the AI theme. The planned expansion of HSTECH from 30 to 50 constituents should also make the index **more forward-looking** and help capture high-growth tech companies' early gains. Along with discounted valuations, earnings and IPO momentum, these changes are expected to support **a recovery in H2**.

— **Cindy Lam, CFA,** *Senior Investment Strategist*

Hang Seng Technology currently trades at discounted valuations, offering an attractive entry point for investors seeking exposure to China's technology recovery and long-term AI growth

HSTECH forward price-to-earnings (P/E) ratio

Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Do July's US consumer inflation and non-farm payrolls data reinforce the view that the Fed will stay on hold this year?

Our view: Yes, we believe the Fed will keep its Fed Funds target rate band unchanged at 3.50% - 3.75% for the rest of the year.

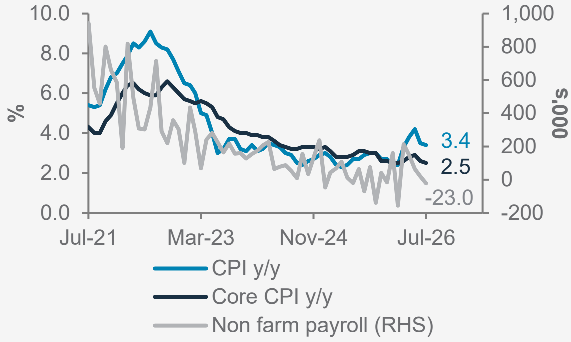
Rationale: We believe **peak Fed hawkishness is likely behind us** after a weaker-than-expected US non-farm payrolls print and an in-line, softening US consumer inflation report. After **headline inflation** fell by 0.4% m/m in June, it showed a mild increase of 0.1% m/m in July, in line with market expectations. **Core inflation** is trending towards the Fed's 2% target and currently stands at 2.5% y/y.

Our view is that the rise in inflation in Q2 was likely a temporary surge, driven mainly by oil prices, rather than a broader-based inflation risk. Together with a surprise **23,000 reduction in non-farm payrolls** in July and downward revisions to previous data releases, we believe the Fed is now in an even **better position to pause rate moves**. The market-implied probability of a rate hike at the Fed's September meeting fell below 50% after the jobs report and declined further to below 40% after the consumer inflation print. The key risks to our call are the Middle East conflict and oil prices. We believe **the US has an incentive to avoid a larger oil-price shock**, given the potential risks to US growth and the November mid-term elections.

— **Ray Heung**, *Senior Investment Strategist*

Peak US inflation is likely behind us; US non-farm payrolls surprised to the downside

US non-farm payrolls and US headline and core consumer inflation



Source: Bloomberg, Standard Chartered

US high-yield (HY) spreads remain near historically tight levels. What would constitute a fair value for HY spreads today? Beyond elevated absolute yields, what is the investment case for HY bonds?

Our view: We remain opportunistically bullish on US HY. Returns will likely be driven more by income than by further credit spread compression. A below-trend default rate and a maturity wall pushed out to 2028-29 are supportive factors.

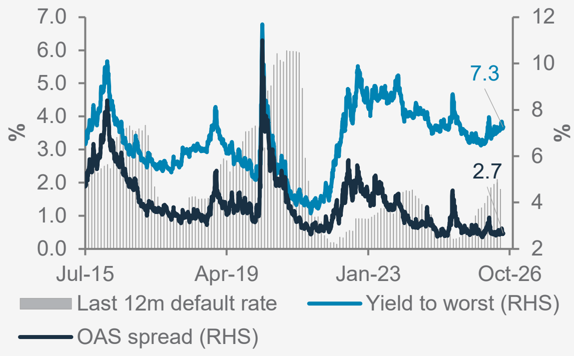
Rationale: While US HY credit spreads (at around 266bps) are near their tightest levels and in the 4th percentile over the past 15 years, **the asset class does not look expensive from a yield perspective**. US HY currently yields around **7.26%,** placing it in the 69th percentile over the past 15 years.

In addition, the **US HY default rate is around 2%**, below the long-term average of 3-3.5%, likely supported by the higher share of BB-rated credit in the index (which is close to 60%) and by a **resilient economy**. **US HY credit metrics are stable** – with reported leverage of 3.5x and interest coverage of 2.0x – and are **projected to improve** into 2027. The **maturity wall** has also been pushed out to 2028-29, as significant refinancing was completed in 2025 and early 2026, taking advantage of favourable market conditions. There is also a **lack of large issuance from hyperscalers** in the US HY space that could otherwise weaken market technicals.

— **Ray Heung**, *Senior Investment Strategist*

US HY is supported by a still-attractive yield and a below-trend default rate

Bloomberg US Corporate HY Index yield to worst and option-adjusted spread. US corporate default rate over the last 12 months



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What is your outlook for the Australian dollar (AUD) following the latest RBA decision? How do you view the currency's short- and long-term correlation with gold?

Our view: The RBA's decision to hold its official cash rate at 4.35% was accompanied by a hawkish policy message, reinforcing the view that rates are likely to remain restrictive for longer. We remain constructive on AUD/USD, with a three-month forecast of 0.74 and a 12-month forecast of 0.75. The recent strengthening in the gold (XAU)-AUD relationship provides an additional near-term tailwind, although the longer-term correlation suggests gold should still be treated as a supporting indicator rather than the primary AUD driver.

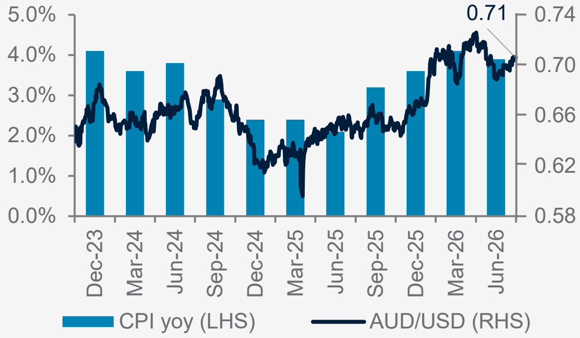
Rationale: Bloomberg data shows that the XAU/USD-AUD/USD correlation stands at **+0.82 over three months**, materially above the **+0.59 three-year correlation**. The 0.23-point gap shows that **gold and the AUD have moved much more closely together recently,** as both have benefited from similar macro tailwinds. However, the more moderate long-term relationship suggests **gold remains a secondary indicator for the AUD** rather than a primary driver.

The RBA's hawkish pause is important for our AUD view. With inflation remaining elevated, the RBA sees **upside risks to inflation**. Governor Bullock reiterated that **rates could rise further** if required. A **softer USD**, **improving China growth momentum** and **supportive commodity conditions** provide additional support for our constructive AUD view and 0.74/0.75 forecasts.

— **Ray Heung,** *Senior Investment Strategist*

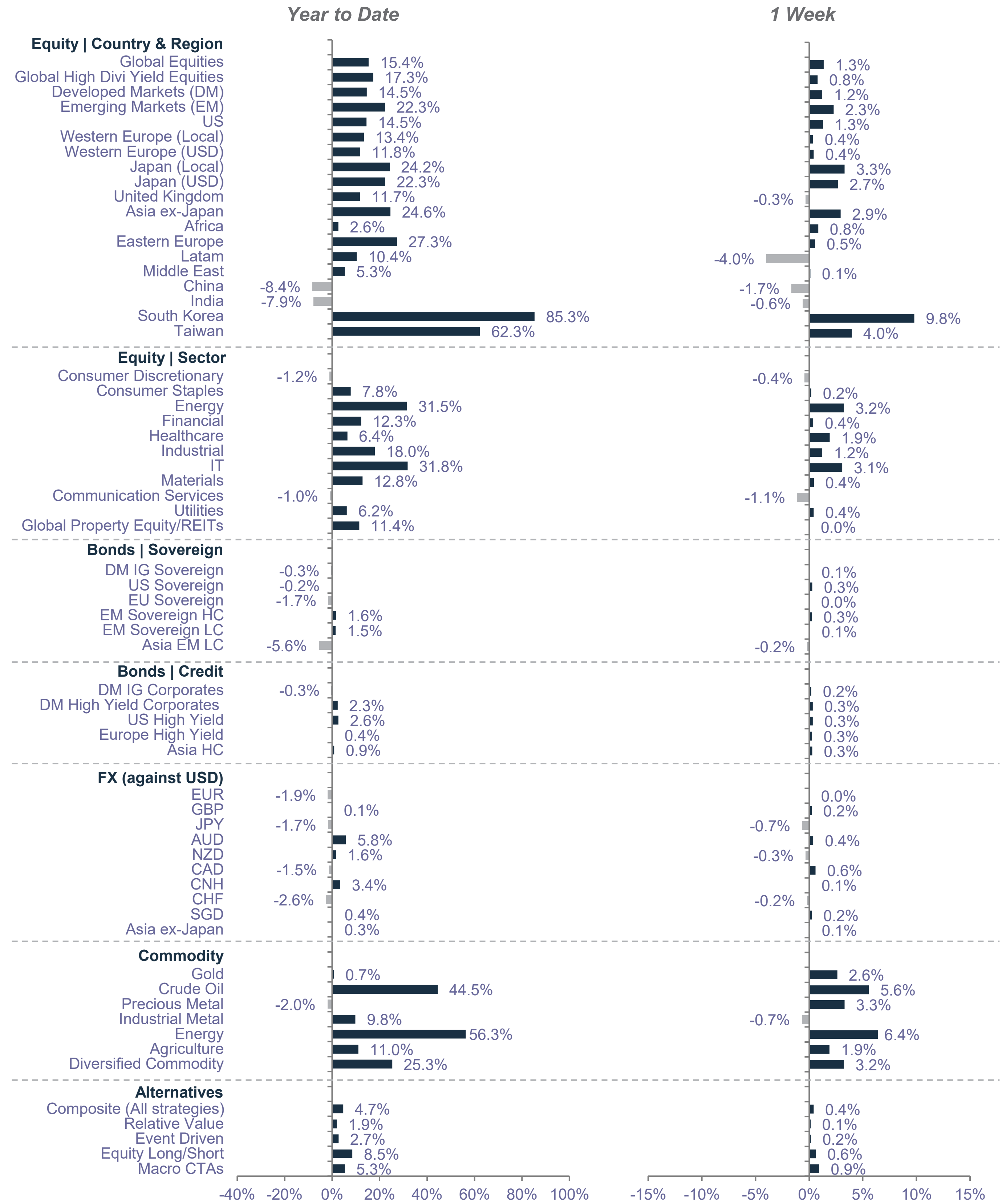
RBA inflation concerns support the AUD

AUD/USD vs. Australia's consumer inflation



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 13 August 2026; 1-week period: 6 August 2026 to 13 August 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	Europe ex-UK Financials	▲
Japan	◆	Europe ex-UK Industrials	▲
Other EM	◆	Japan Financials	▲
		China Communication	▲
Bonds	◆	China Technology	▲

Credit		Govt	
Asia USD	◆	Govt EM Local	◆
Corp DM HY	◆	Govt DM IG	▼
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
		Gold	◆

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

		Market Event	Period	Expected	Prior
MON	CNH	Retail Sales y/y	Jul	1.5%	1.0%
	CNH	Industrial Production y/y	Jul	4.9%	5.3%
	CNH	Fixed Assets Ex Rural YTD y/y	Jul	-6.2%	-5.7%
	CNH	Property Investment YTD y/y	Jul	-19.0%	-18.0%
	USD	Empire Manufacturing	Aug	10.0	15.6
TUE	EUR	Germany ZEW Survey Expectations	Aug	28.0	26.3
	EUR	Germany ZEW Survey Current Situation	Aug	–	-77.6
	USD	Capacity Utilization	Jul	76.3%	76.1%
WED					
THU	USD	FOMC Meeting Minutes	29-Jul	–	–
	USD	Philadelphia Fed Business Outlook	Aug	25.0	41.4
	USD	Leading Index	Jul	0.1%	-0.2%
FRI/SAT	EUR	S&P Global Eurozone Manufacturing PMI	Aug P	51.4	51.9
	EUR	S&P Global Eurozone Services PMI	Aug P	51.4	51.7
	USD	S&P Global US Manufacturing PMI	Aug P	53.5	53.9
	USD	S&P Global US Services PMI	Aug P	53.8	54.6
	EUR	Consumer Confidence	Aug P	-16.6	-15.9

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,972

Technical indicators for key markets as of 13 Aug close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,799	7,470	7,972	20.1	1.1
STOXX 50	6,545	6,301	6,684	15.6	3.1
FTSE 100	10,773	10,467	11,034	12.9	3.7
TOPIX	4,176	3,962	4,288	16.9	2.2
Shanghai Comp	3,927	3,785	4,025	13.0	3.1
Hang Seng	25,397	24,137	26,422	10.7	3.4
Nifty 50	24,396	23,743	24,911	18.3	1.8
MSCI Asia ex-Japan	1,126	1,045	1,168	10.3	2.4
MSCI EM	1,695	1,584	1,756	10.0	2.7
Crude oil (WTI)	81.3	72.5	91.8	na	na
Gold	4,350	4,057	4,547	na	na
UST 10Y Yield	4.64	4.52	4.76	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 13 Aug close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.78
Global Equities	●	↑	1.58
Gold	●	↑	1.59
Equity			
MSCI US	●	↑	1.55
MSCI Europe	◐	→	1.43
MSCI AC AXJ	●	↑	2.14
Fixed Income			
DM Corp Bond	●	↑	1.93
DM High Yield	●	↑	1.52
EM USD	●	↑	1.77
EM Local	●	→	1.60
Asia USD	●	↑	1.97
Currencies			
EUR/USD	●	→	1.52

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

Access our views 24/7 on key platforms

Market views on-the-go

MVOG

SC Wealth Insights

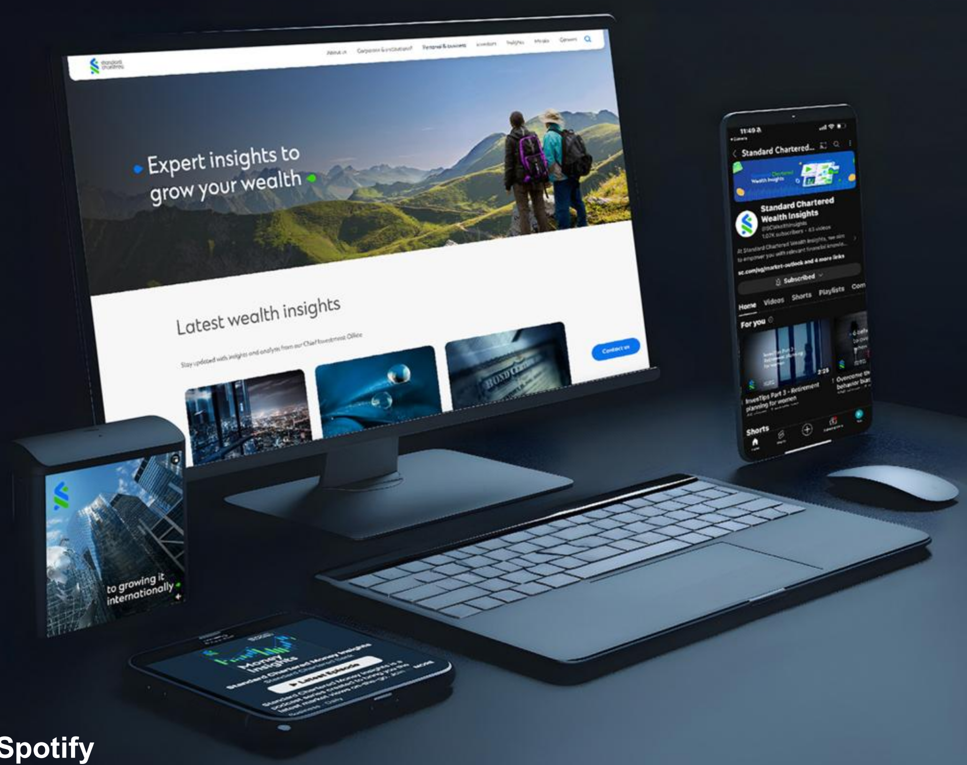
Find out more

YouTube

Facebook

LinkedIn

PvB LinkedIn



SC Money Insights

4 podcasts shows on Spotify and Apple platforms

Spotify

Apple Podcasts

Speak to your Relationship Manager/Investment Advisor today for access to our security specific publications.

Disclosures

This document is confidential and may also be privileged. If you are not the intended recipient, please destroy all copies and notify the sender immediately. This document is being distributed for general information only and is subject to the relevant disclaimers available at our Standard Chartered website under Regulatory disclosures. It is not and does not constitute research material, independent research, an offer, recommendation or solicitation to enter into any transaction or adopt any hedging, trading or investment strategy, in relation to any securities or other financial instruments. This document is for general evaluation only. It does not take into account the specific investment objectives, financial situation or particular needs of any particular person or class of persons and it has not been prepared for any particular person or class of persons. You should not rely on any contents of this document in making any investment decisions. Before making any investment, you should carefully read the relevant offering documents and seek independent legal, tax and regulatory advice. In particular, we recommend you to seek advice regarding the suitability of the investment product, taking into account your specific investment objectives, financial situation or particular needs, before you make a commitment to purchase the investment product. Opinions, projections and estimates are solely those of SC at the date of this document and subject to change without notice. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. The value of investments, and the income from them, can go down as well as up, and you may not recover the amount of your original investment. You are not certain to make a profit and may lose money. Any forecast contained herein as to likely future movements in rates or prices or likely future events or occurrences constitutes an opinion only and is not indicative of actual future movements in rates or prices or actual future events or occurrences (as the case may be). This document must not be forwarded or otherwise made available to any other person without the express written consent of the Standard Chartered Group (as defined below). Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered PLC, the ultimate parent company of Standard Chartered Bank, together with its subsidiaries and affiliates (including each branch or representative office), form the Standard Chartered Group. Standard Chartered Global Private Bank is the private banking division of Standard Chartered. Private banking activities may be carried out internationally by different legal entities and affiliates within the Standard Chartered Group (each an “SC Group Entity”) according to local regulatory requirements. Not all products and services are provided by all branches, subsidiaries and affiliates within the Standard Chartered Group. Some of the SC Group Entities only act as representatives of Standard Chartered Global Private Bank and may not be able to offer products and services or offer advice to clients.

Market Abuse Regulation (MAR) Disclaimer

Banking activities may be carried out internationally by different branches, subsidiaries and affiliates within the Standard Chartered Group according to local regulatory requirements. Opinions may contain outright “buy”, “sell”, “hold” or other opinions. The time horizon of this opinion is dependent on prevailing market conditions and there is no planned frequency for updates to the opinion. This opinion is not independent of Standard Chartered Group’s trading strategies or positions. Standard Chartered Group and/or its affiliates or its respective officers, directors, employee benefit programmes or employees, including persons involved in the

preparation or issuance of this document may at any time, to the extent permitted by applicable law and/or regulation, be long or short any securities or financial instruments referred to in this document or have material interest in any such securities or related investments. Therefore, it is possible, and you should assume, that Standard Chartered Group has a material interest in one or more of the financial instruments mentioned herein. Please refer to our Standard Chartered website under Regulatory disclosures for more detailed disclosures, including past opinions/ recommendations in the last 12 months and conflict of interests, as well as disclaimers. A covering strategist may have a financial interest in the debt or equity securities of this company/issuer. All covering strategist are licensed to provide investment recommendations under Monetary Authority of Singapore or Hong Kong Monetary Authority. This document must not be forwarded or otherwise made available to any other person without the express written consent of Standard Chartered Group.

Sustainable Investments

Any ESG data used or referred to has been provided by Morningstar, Sustainalytics, MSCI or Bloomberg. Refer to 1) Morningstar website under Sustainable Investing, 2) Sustainalytics website under ESG Risk Ratings, 3) MCSI website under ESG Business Involvement Screening Research and 4) Bloomberg green, social & sustainability bonds guide for more information. The ESG data is as at the date of publication based on data provided, is for informational purpose only and is not warranted to be complete, timely, accurate or suitable for a particular purpose, and it may be subject to change. The ESG data providers may not provide data coverage of all companies or securities in our Sustainable Investment Universe or Fund Select funds. As a result, a small subset of companies or securities will not be in scope for exclusionary screening. Sustainable Investments (SI): This refers to funds that have been classified as ‘ESG Intentional Investments - Overall’ by Morningstar. SI funds have explicitly stated in their prospectus and regulatory filings that they either incorporate ESG factors into the investment process or have a thematic focus on the environment, gender diversity, low carbon, renewable energy, water or community development. For equity, it refers to shares/stocks issued by companies with Sustainalytics ESG Risk Rating of Low/Negligible. For bonds, it refers to debt instruments issued by issuers with Sustainalytics ESG Risk Rating of Low/Negligible, and/or those being certified green, social, sustainable bonds by Bloomberg. For structured products, it refers to products that are issued by any issuer who has a Sustainable Finance framework that aligns with Standard Chartered’s Green and Sustainable Product Framework, with underlying assets that are part of the Sustainable Investment universe or separately approved by Standard Chartered’s Sustainable Finance Governance Committee. Sustainalytics ESG risk ratings shown are factual and are not an indicator that the product is classified or marketed as “green”, “sustainable” or similar under any particular classification system or framework.

Country/Market Specific Disclosures

Bahrain: This document is being distributed in Bahrain by Standard Chartered Bank, Bahrain Branch, having its address at P.O. 29, Manama, Kingdom of Bahrain, is a branch of Standard Chartered Bank and is licensed by the Central Bank of Bahrain as a conventional retail bank. **Botswana**: This document is being distributed in Botswana by, and is attributable to, Standard Chartered Bank Botswana Limited which is a financial institution licensed under the Section 6 of the Banking Act CAP 46.04 and is listed in the Botswana Stock Exchange. **Brunei Darussalam**: This document is being distributed in Brunei Darussalam by, and is attributable to, Standard Chartered Bank (Brunei Branch) | Registration Number RFC/61 and Standard Chartered Securities (B) Sdn Bhd | Registration Number RC20001003. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. Standard Chartered Securities (B) Sdn Bhd is a limited liability company registered with the Registry of Companies with Registration Number RC20001003 and licensed by Brunei Darussalam Central Bank as a Capital Markets Service License Holder with License Number BDCB/R/CMU/S3-CL and it is authorised to conduct Islamic investment business through an Islamic window. **China Mainland**: This document is being distributed in China by, and is attributable to, Standard Chartered Bank (China) Limited which is mainly regulated by National Financial Regulatory Administration (NFRA), State Administration of Foreign Exchange (SAFE), and People’s Bank of China (PBOC). **Hong Kong**: In Hong Kong, this document, except for any portion advising on or facilitating any decision on futures contracts trading, is distributed by Standard Chartered Bank (Hong Kong) Limited (“SCBHK”), a subsidiary of Standard Chartered PLC. SCBHK has its registered address at 32/F, Standard Chartered Bank Building, 4-4A Des Voeux Road Central, Hong Kong and is regulated by the Hong Kong Monetary Authority and registered with the Securities and Futures Commission (“SFC”) to carry on Type 1 (dealing in securities), Type 4 (advising on securities), Type 6 (advising on corporate finance) and Type 9 (asset management) regulated activity under the Securities and Futures Ordinance (Cap. 571) (“SFO”) (CE No. AJI614). The contents of this document have not been reviewed by any regulatory authority in Hong Kong and you are advised to exercise caution in relation to any offer set out herein. If you are in doubt about any of the contents of this document, you should obtain independent professional advice. Any product named herein may not be offered or sold in Hong Kong by means of any document at any time other than to “professional investors” as defined in the SFO and any rules made under that ordinance. In addition, this document may not be issued or possessed for the purposes of issue, whether in Hong Kong or elsewhere, and any interests may not be disposed of, to any person unless such person is outside Hong Kong or is a “professional investor” as defined in the SFO and any rules made under that ordinance, or as otherwise may be permitted by that ordinance. In Hong Kong, Standard Chartered Global Private Bank is the private banking division of SCBHK, a subsidiary of Standard Chartered PLC. **Ghana**: Standard Chartered Bank Ghana Limited accepts no liability and will not be liable for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to feedback.ghana@sc.com. Please do not reply to this email. Call our Priority Banking on 0302610750 for any questions or service queries. You are advised not to send any confidential and/or important information to Standard Chartered via e-mail, as Standard Chartered makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. Standard Chartered shall not be responsible for any loss or damage suffered by you arising from your decision to use e-mail to communicate with the Bank. **India**: This document is being distributed in India by Standard Chartered in its capacity as a distributor of mutual funds and referrer of any other third party financial products. Standard Chartered does not offer any ‘Investment Advice’ as defined in the Securities and Exchange Board of India (Investment Advisers) Regulations, 2013 or otherwise. Services/products related securities business offered by Standard Charted are not intended for any person, who is a resident of any jurisdiction, the laws of which imposes prohibition on soliciting the securities business in that jurisdiction without going through the registration requirements and/or prohibit the use of any information contained in this document. **Indonesia**: This document is being distributed in Indonesia by Standard Chartered Bank, Indonesia branch, which is a financial institution licensed and supervised by Otoritas Jasa Keuangan (Financial Service Authority) and Bank Indonesia. **Jersey**: In Jersey, Standard Chartered Global Private Bank is the Registered Business Name of the Jersey Branch of Standard Chartered Bank. The Jersey Branch of Standard Chartered Bank is regulated by the Jersey Financial Services Commission. Copies of the latest audited accounts of Standard Chartered Bank are available from its principal place of business in Jersey: PO Box 80, 15 Castle Street, St Helier, Jersey JE4 8PT. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter in 1853 Reference Number ZC 18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. The Jersey Branch of Standard Chartered Bank is also an authorised financial services provider under license number 44946 issued by the Financial Sector Conduct Authority of the Republic of South Africa. Jersey is not part of the United Kingdom and all business transacted with Standard Chartered Bank, Jersey Branch and other SC Group Entity outside of the United Kingdom, are not subject to some or any of the investor protection and compensation schemes available under United Kingdom law. **Kenya**: This document is being distributed in Kenya by and is attributable to Standard Chartered Bank Kenya Limited. Investment Products and Services are distributed by Standard Chartered Investment Services Limited, a wholly owned subsidiary of Standard Chartered Bank Kenya Limited that is licensed by the Capital Markets Authority in Kenya, as a Fund Manager. Standard Chartered Bank Kenya Limited is regulated by the Central Bank of Kenya. **Malaysia**: This document is being distributed in Malaysia by Standard Chartered Bank Malaysia Berhad (“SCBMB”). Recipients in Malaysia should contact SCBMB in relation to any matters arising from, or in connection with, this document. This document has not been reviewed by the Securities Commission Malaysia. The product lodgement, registration, submission or approval by the Securities Commission of Malaysia does not amount to nor indicate recommendation or endorsement of the product, service or promotional activity. Investment products are not deposits and are not obligations of, not guaranteed by, and not protected by SCBMB or any of the affiliates or subsidiaries, or by Perbadanan Insurans Deposit Malaysia, any government or insurance agency. Investment products are subject to investment risks, including the possible loss of the principal amount invested. SCBMB expressly disclaim any liability and responsibility for any loss arising directly or indirectly (including special, incidental or consequential loss or damage) arising from the financial losses of the Investment Products due to market condition. **Nigeria**: This document is being distributed in Nigeria by Standard Chartered Bank Nigeria Limited (SCB Nigeria), a bank duly licensed and regulated by the Central Bank of Nigeria. SCB Nigeria accepts no liability for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to clientcare.ng@sc.com requesting to be removed from our mailing list. Please do not reply to this email. Call our Priority Banking on 02 012772514 for any questions or service queries. SCB Nigeria shall not be responsible for any loss or damage arising from your decision to send confidential and/or important information to Standard Chartered via e-mail. SCB Nigeria makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. **Pakistan**: This document is being distributed in Pakistan by, and attributable to Standard Chartered Bank (Pakistan) Limited having its registered office at PO Box 5556, I.I Chundrigar Road Karachi, which is a banking company registered with State Bank of Pakistan under Banking Companies Ordinance 1962 and is also having licensed issued by Securities & Exchange Commission of Pakistan for Security Advisors. Standard Chartered Bank (Pakistan) Limited acts as a distributor of mutual funds and referrer of other third-party financial products. **Singapore**: This document is being distributed in Singapore by, and is attributable to, Standard Chartered Bank (Singapore) Limited (Registration No. 201224747C/ GST Group Registration No. MR-8500053-0, “SCBSL”). Recipients in Singapore should contact SCBSL in relation to any matters arising from, or in connection with, this document. SCBSL is an indirect wholly owned subsidiary of Standard Chartered Bank and is licensed to conduct banking business in Singapore under the Singapore Banking Act, 1970. Standard Chartered Global Private Bank is the private banking division of SCBSL. IN RELATION TO ANY SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT REFERRED TO IN THIS DOCUMENT, THIS DOCUMENT, TOGETHER WITH THE ISSUER DOCUMENTATION, SHALL BE DEEMED AN INFORMATION MEMORANDUM (AS DEFINED IN SECTION 275 OF THE SECURITIES AND FUTURES ACT, 2001 (“SFA”)). THIS DOCUMENT IS INTENDED FOR DISTRIBUTION TO ACCREDITED INVESTORS, AS DEFINED IN SECTION 4A(1)(a) OF THE SFA, OR ON THE BASIS THAT THE SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT MAY ONLY BE ACQUIRED AT A CONSIDERATION OF NOT LESS THAN S$200,000 (OR ITS EQUIVALENT IN A FOREIGN CURRENCY) FOR EACH TRANSACTION. Further, in relation to any security or securities-based derivatives contract, neither this document nor the Issuer Documentation has been registered as a prospectus with the Monetary Authority of Singapore under the SFA. Accordingly, this document and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of the product may not be circulated or distributed, nor may the product be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons other than a relevant person pursuant to section 275(1) of the SFA, or any person pursuant to section 275(1A) of the SFA, and in accordance with the conditions specified in section 275 of the SFA, or pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA. In relation to any collective investment schemes referred to in this document, this document is for general information purposes only and is not an offering document or prospectus (as defined in the SFA). This document is not, nor is it intended to be (i) an offer or solicitation of an offer to buy or sell any capital markets product; or (ii) an advertisement of an offer or intended offer of any capital markets product. Deposit Insurance Scheme: Singapore dollar deposits of non-bank depositors are insured by the Singapore Deposit Insurance Corporation, for up to S$100,000 in aggregate per depositor per Scheme member by law. Foreign currency deposits, dual currency investments, structured deposits and other investment products are not insured. This advertisement has not been reviewed by the Monetary Authority of Singapore. **Taiwan**: SC Group Entity or Standard Chartered Bank (Taiwan) Limited (“SCB (Taiwan)”) may be involved in the financial instruments contained herein or other related financial instruments. The author of this document may have discussed the information contained herein with other employees or agents of SC or SCB (Taiwan). The author and the above-mentioned employees of SC or SCB (Taiwan) may have taken related actions in respect of the information involved (including communication with customers of SC or SCB (Taiwan) as to the information contained herein). The opinions contained in this document may change, or differ from the opinions of employees of SC or SCB (Taiwan). SC and SCB (Taiwan) will not provide any notice of any changes to or differences between the above-mentioned opinions. This document may cover companies with which SC or SCB (Taiwan) seeks to do business at times and issuers of financial instruments. Therefore, investors should understand that the information contained herein may serve as specific purposes as a result of conflict of interests of SC or SCB (Taiwan). SC, SCB (Taiwan), the employees (including those who have discussions with the author) or customers of SC or SCB (Taiwan) may have an interest in the products, related financial instruments or related derivative financial products contained herein; invest in those products at various prices and on different market conditions; have different or conflicting interests in those products. The potential impacts include market makers’ related activities, such as dealing, investment, acting as agents, or performing financial or consulting services in relation to any of the products referred to in this document. **UAE**: DIFC - Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18.The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered Bank, Dubai International Financial Centre having its offices at Dubai International Financial Centre, Building 1, Gate Precinct, P.O. Box 999, Dubai, UAE is a branch of Standard Chartered Bank and is regulated by the Dubai Financial Services Authority (“DFSA”). This document is intended for use only by Professional Clients and is not directed at Retail Clients as defined by the DFSA Rulebook. In the DIFC we are authorised to provide financial services only to clients who qualify as Professional Clients and Market Counterparties and not to Retail Clients. As a Professional Client you will not be given the higher retail client protection and compensation rights and if you use your right to be classified as a Retail Client we will be unable to provide financial services and products to you as we do not hold the required license to undertake such activities. For Islamic transactions, we are acting under the supervision of our Shariah Supervisory Committee. Relevant information on our Shariah Supervisory Committee is currently available on the Standard Chartered Bank website in the Islamic banking section. For residents of the UAE – Standard Chartered UAE (“SC UAE”) is licensed by the Central Bank of the U.A.E. SC UAE is licensed by Securities and Commodities Authority to practice Promotion Activity. SC UAE does not provide financial analysis or consultation services in or into the UAE within the meaning of UAE Securities and Commodities Authority Decision No. 48/r of 2008 concerning financial consultation and financial analysis. **Uganda**: Our Investment products and services are distributed by Standard Chartered Bank

Uganda Limited, which is licensed by the Capital Markets Authority as an investment adviser. **United Kingdom**: In the UK, Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. This communication has been approved by Standard Chartered Bank for the purposes of Section 21 (2) (b) of the United Kingdom's Financial Services and Markets Act 2000 ("FSMA") as amended in 2010 and 2012 only. Standard Chartered Bank (trading as Standard Chartered Global Private Bank) is also an authorised financial services provider (license number 45747) in terms of the South African Financial Advisory and Intermediary Services Act, 2002. The Materials have not been prepared in accordance with UK legal requirements designed to promote the independence of investment research, and that it is not subject to any prohibition on dealing ahead of the dissemination of investment research. **Vietnam**: This document is being distributed in Vietnam by, and is attributable to, Standard Chartered Bank (Vietnam) Limited which is mainly regulated by State Bank of Vietnam (SBV). Recipients in Vietnam should contact Standard Chartered Bank (Vietnam) Limited for any queries regarding any content of this document. **Zambia**: This document is distributed by Standard Chartered Bank Zambia Plc, a company incorporated in Zambia and registered as a commercial bank and licensed by the Bank of Zambia under the Banking and Financial Services Act Chapter 387 of the Laws of Zambia.

standard chartered

WS Global CIO Office
7 August 2026

Weekly Market View

Equities break out

→ Positive earnings and softening US bond yields have supported a breakout in major equity market indices.

→ We see room for this to extend, but would ensure portfolios avoid excessive regional or sector concentrations.

→ The announcement of an Oman-Iran deal on reopening the Strait of Hormuz is set to keep oil prices rangebound, reducing a potential headwind for equities, bond yields and gold.

→ Japan-US yen intervention likely signals greater two-way volatility rather than a change in trend as long as the gap in US-Japan interest rates persists. We expect a rangebound USD/JPY near-term.

Will the RBA raise rates? What does that mean for AUD bonds?

Do recent earnings signal a healthy AI investment cycle?

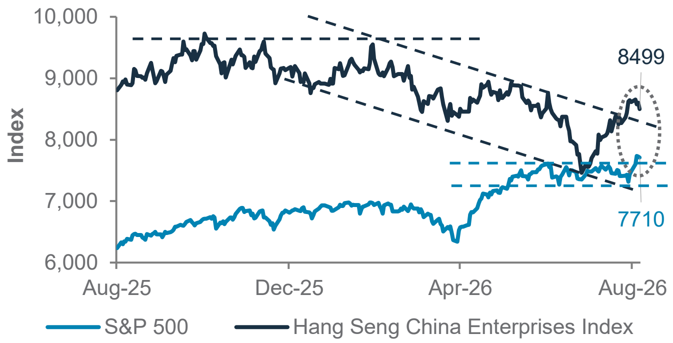
What does the RBI rate decision mean for Indian bond yields?

Important disclosures can be found in the Disclosures Appendix.

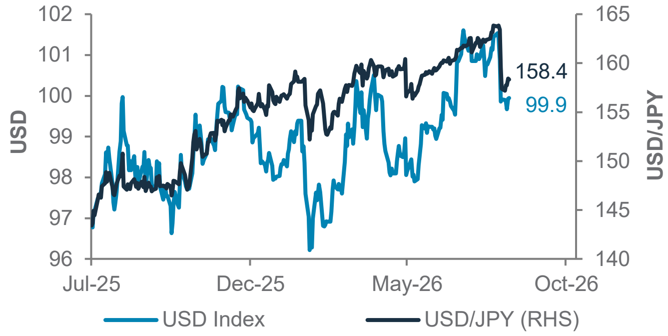
Charts of the week: Equities start to break out of recent ranges

US, China equities breaking higher amid strong earnings & softer bond yields. Yen intervention a key reason for DXY fall.

S&P500 and HSCEI equity indices



DXY (USD Index) and USD/JPY



Source: Bloomberg, Standard Chartered

Editorial

Equities break out

Strategy summary: Positive earnings and softening US bond yields have supported a breakout in major equity market indices. We see room for gains to extend, but would ensure portfolios avoid excessive regional or sector concentration. The announcement of an Oman-Iran deal on reopening the Strait of Hormuz is set to keep oil prices rangebound, reducing a potential headwind for equities, bond yields and gold. Japan-US intervention in the Yen currency market likely signals greater two-way volatility rather than a change in trend as long as the gap in US-Japan interest rates persists. We expect a rangebound USD/JPY near-term.

Major equity markets have broken out of their recent sideways or down-trending ranges in recent days: This shift is visible in US, Euro area and Japan equities, but also within the major Asian markets – China and India –to varying degrees. This technical breakout has focused attention on an improving near-term outlook after recent weakness.

Earnings, bond yields signal gains set to extend: In the US, a strong earnings season has been a key contributor, with approximately 85% of S&P500 companies beating consensus expectations (vs. a long-term average of 67%). In China, we also expect a positive earnings season as earnings reports kick off next week. Meanwhile, the pause in US real (net-of-inflation) bond yields from close to multi-decade highs is also a key positive. Together these factors argue recent equity markets gains have room to extend.

Keep regional, sector exposure diversified: While it is tempting to expect a return to concentrated sector or regional market gains, we believe recent market rotations argue for keeping exposure more broadly diversified. We are also mindful of seasonal and US election-related risks later in the year.

Overweight US, Asia ex-Japan; US financials recently upgraded: We retain our Overweight views on US and Asia ex-Japan equities as well as core holdings to Japan and Euro area stocks. However, this applies equally at a sector level. The S&P500, for example, comprises approximately 45% growth sectors, 35% cyclical sectors and 20% defensive sectors. Our opportunistic idea on US communication services is a good example of gaining attractive exposure to growth. However, our recent upgrade of US financials on the back of higher yields and M&A activity reflects an attractive route to add cyclicals.

Announcement of an Oman-Iran deal on Strait of Hormuz reinforces rangebound oil price view: Reports of an Oman-Iran agreement to reopen shipping in the Strait of Hormuz reinforced recent softness in oil prices. While recent history shows it can pay to be sceptical of headline deals until evidence emerges of changes in actual activity, the announcement reinforces our view that oil prices remain largely rangebound within USD 70-90/bbl. This should help keep a lid on oil-related inflation worries, thereby helping cap real bond yields and, in turn, avoid disrupting recent optimism in equities.

Capped real yields positive for income and gold: Looking beyond equities, we also see the softening of real bond yields as pointing to an opportunity to lock in attractive yields in short maturity bonds. Softening real yields should also reduce headwinds for gold, where prices have similarly broken above recent ranges. We view gold as a core allocation.

Yen intervention introduces greater two-way volatility, but weak Yen fundamentals remain in place: Coordinated Japanese-US intervention raises the credibility and likely impact of the recent intervention to strengthen the Japanese Yen. However, the persistence of the sizeable gap between Japanese and US interest rates means the fundamental factor driving Yen weakness remains unchanged.

Rate differential attractive for carry trades; USD/JPY likely rangebound for now: JPY-funded carry trades remain attractive given the wide yield differential, although higher intervention risk may encourage lower leverage and tighter risk management. However, the pace of BoJ rate hikes remains the key risk. Near-term, USD/JPY is likely to stay rangebound.

— **Manpreet Gill**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

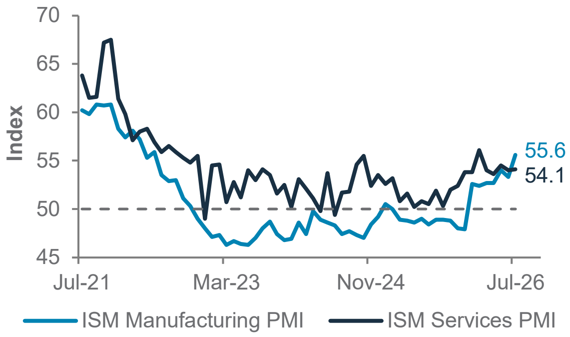
(+) factors: Robust US manufacturing activity; likely easing geopolitical tensions and prospect of resumption of Hormuz strait shipping

(-) factors: Weaker-than-expected US job market, weak China activity and escalating trade tensions between the US and China

	Positive for risk assets	Negative for risk assets
Macro data	• US ISM manufacturing PMI rose more than expected to 55.6 in July, with rising new orders and employment sub-indices	• US ISM services PMI missed estimates in July, prices paid rose and employment sub-index fell • US private sector employment (Jul) and US JOLTS job openings (Jun) missed estimates • Euro area core consumer price index rose more than expected in July • China mfg and non-mfg PMIs fell more than expected in July
	Our assessment: Negative – Weaker-than-expected US job market, slower US services activity, and weak China activity	
Policy developments	• Fed's Paulson and Williams said rates remain "well positioned" • RBI kept the repurchase rate unchanged and retained a neutral stance	• Fed's Schmid, Kashkari and Cook emphasised further monetary policy tightening as necessary
	Our assessment: Neutral – Divergent Fed views, RBI on hold	
Other developments	• Iran reached an agreement with Oman on a temporary shipping route through the Strait of Hormuz, but stressed it does not mean a full reopening • US confirmed a new round of facilitated talks between Israel and Lebanon	• Iran reported to be looking at barring US and Israeli ships from the strait • US plans ban on Chinese optical transceiver imports, and impose a 15% tariff and minimum price floors on imported polysilicon • China retaliated against US with sanctions and tighter export on drones
	Our assessment: Neutral – Easing geopolitical tensions vs. escalating trade tensions between the US and China	

US manufacturing PMI hit its highest level since May 2022 driven by a surge in production and new orders, while the services sector continued its steady expansion

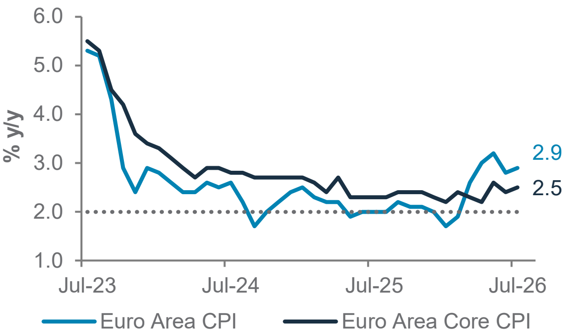
ISM manufacturing PMI and services PMI



Source: Bloomberg, Standard Chartered

Euro area headline consumer inflation rose 2.9% y/y in July as expected, driven by higher energy cost pressures

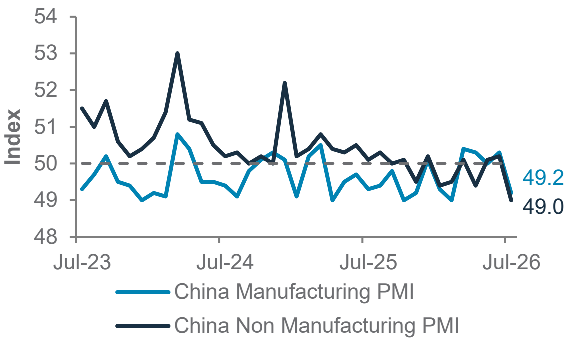
Euro area headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

China manufacturing and non-manufacturing PMIs fell into contraction territory in July, signalling a loss of economic momentum

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Do recent Big Tech earnings support the view of a healthy AI investment cycle?

Our view: Yes. We remain constructive on investing in the AI theme, expressed through our Overweight to the US technology sector or via our Opportunistic ideas on US communication services, MSCI Taiwan and global power and electrification.

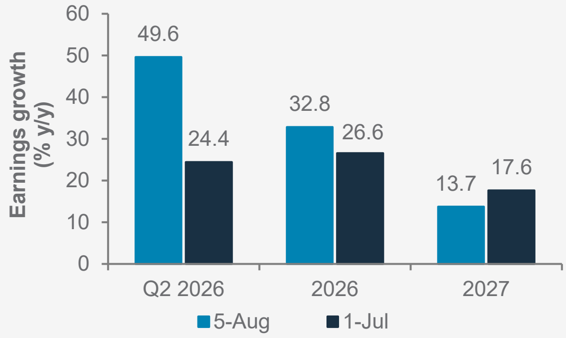
Rationale: A key concern heading into Big Tech earnings was the ability to monetise substantial AI investments. The results so far largely suggest that **AI investments are supporting real commercial demand rather than simply adding speculative capacity**. Based on current trends, we estimate AI-related returns on investment (ROI) for Big Tech companies with strong cloud businesses at around **25-30%**, indicating returns are becoming increasingly tangible.

While the **ROI remains attractive**, we believe the uncertainty relates to whether hyperscalers have committed too much capital around AI, too quickly. This reflects concerns about the ability of hyperscalers to pause or reverse the investment cycle should the macro situation deteriorate. When investment obligations become large and long dated, the market can become worried about execution risk just as much as return potential. **We remain confident in Big Tech companies' ability to manage their AI investments.**

— **Fook Hien Yap**, *Senior Investment Strategist*

US Q2 earnings season has been excellent, with substantial upgrades to 2026 earnings growth forecasts, partly offset by lower 2027 earnings growth expectations

Consensus earnings growth projections for the S&P500 Index as of 5 August 2026 and 1 July 2026



Source: LSEG I/B/E/S, Standard Chartered

Can the rally and outperformance of China equities continue?

Our view: We remain Overweight China equities and expect the rally to extend into H2, supported by China's policy stimulus, technological goals, earnings support and cheap valuations.

Rationale: The MSCI China Index has rebounded 9.6% since June-end but remains **down c.7% year to date (YTD)**, compared with global equities – which are up c.14%. This points to **substantial catch-up potential**.

China's July 2026 Politburo meeting, while stopping short of announcing fresh stimulus, pledged to "roll out **pragmatic and effective new policies** in a timely manner", reinforcing a **supportive backdrop** for the economic outlook. Structurally, the country's push for innovation, supply-chain localisation and technological self-reliance, despite US chip restrictions, is bolstering sentiment, with an **AI IPO wave** fuelling stronger investor interest in equities.

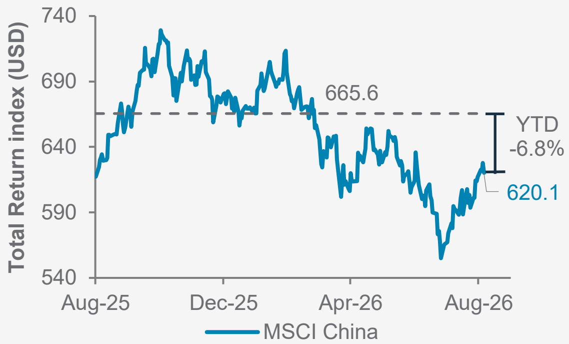
Major Chinese technology names are set to report earnings soon, where **accelerating AI commercialisation** and **high-performing domestic AI models** with lower development costs than their US peers are expected to support the growth outlook.

China trades at a **c.11x forward price-to-earnings (P/E) ratio**, making it one of the cheapest major markets globally, with ample room for a valuation re-rating. However, **regulatory changes** could limit the financial sector's near-term valuation re-rating potential.

— **Jason Wong**, *Senior Equity Analyst*

We see the China equity rally extending into H2. The MSCI China Index remains down c.7% YTD, despite its recent rebound, implying room to catch up

MSCI China Index



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

How will the US Treasury borrowing plan and Q3 Quarterly Refunding Announcement affect US government bond yields?

Our view: We expect the yield premium to remain elevated and prefer shorter-tenor bonds, particularly in the 3-5-year segment.

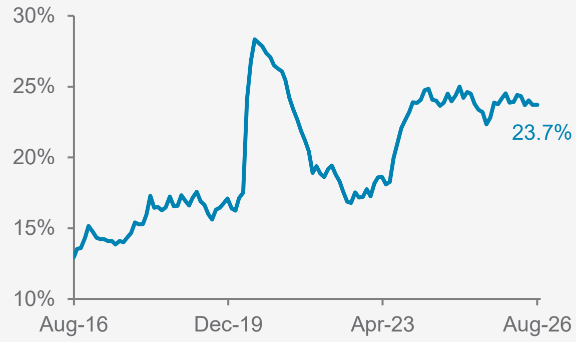
Rationale: The US Treasury's Q3 2026 borrowing estimate of USD 739bn – USD 68bn above the May forecast – reflects **deteriorating net cash flows**. Yet the **yield reaction was mild** after the borrowing announcement, likely explained by the continued heavy reliance on T-bill issuance amid **strong support from money market funds**. T-bills currently represent **c.23.7%** of total outstanding debt, remaining below the peak of over 28% during the Covid-19 period.

While **the front-loading of bill issuance keeps short-end rates anchored**, it only delays, but does not eliminate**,** the eventual need for longer-dated bond auctions. The pressure on long-end yields is thus just being deferred. According to the US Treasury, **projected issuance will rise to USD 4.9trn by 2028** from USD 4.4trn in 2026. Because longer-dated bonds tie up investors' money for longer, they carry more risk and put more strain on the market than short-term bonds of the same USD amount. Once this is accounted for, the extra borrowing translates into the equivalent of **USD 350bn-520bn** in additional 10-year US government bond supply per year – representing the true weight of new bonds the market will need to absorb annually. The **yield differential between 2- and 10-year US government bonds has steepened materially** in the past month, consistent with the market pricing in a higher terminal rate at the front end while long-end yield premia expand amid supply pressure.

— **Ray Heung**, *Senior Investment Strategist*

Treasury bills (T-bills) as a proportion of total US debt remain below the peak reached during the Covid-19 period

T-bills as a percentage of total US government debt



Source: Bloomberg, Standard Chartered

What are the implications of hyperscaler debt issuance for the US corporate bond market?

Our view: Shorter-dated, high-quality bonds in the 1-5-year segment should remain relatively well bid, while medium- to-long-dated maturities face broader spread pressure. We see an opportunity to add high-quality bonds in the 3-5-year tenor.

Rationale: The US investment-grade (IG) corporate bond market is experiencing an **unprecedented supply surge** in 2026, driven primarily by major hyperscalers' AI infrastructure spending ambitions. June set a new monthly record for IG issuance at over USD 180bn, with **several brokers raising their IG issuance forecasts for 2026.** This volume has created technical indigestion.

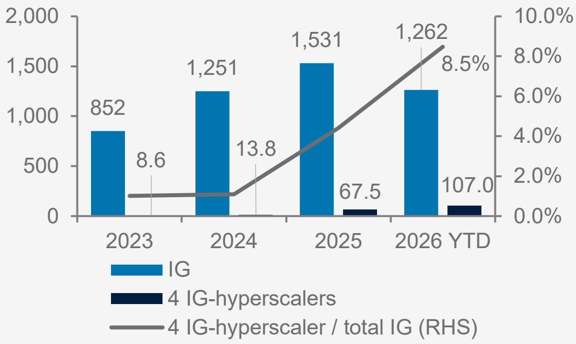
Investors in front-end and medium maturities are **absorbing new supply** by recycling redemption proceeds/coupon income. However, **asset managers/dealers** are approaching risk limits in the belly and the long end of the curve, while **insurers** – historically key buyers of long-dated tech bonds – are at or near their target allocations.

For hold-to-maturity investors, this presents an opportunity to **lock in high-quality income from highly rated bonds**, especially in our recommended 3-5-year tenor.

— **Ray Heung,** *Senior Investment Strategist*

Fast and furious – hyperscaler debt issuance is rising rapidly, both in absolute volume and as a share of total IG issuance

Total US IG and top four US hyperscaler bond issuance 2023-25 and 2026 YTD (USD bn)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Will the RBA raise rates next week? What might be the implications for the Australian dollar (AUD) and AUD bonds?

Our view: We expect the RBA to keep rates unchanged at 4.35% at its 11 August policy meeting, broadly in line with market expectations. We believe this presents an opportunity to lock in higher yields in AUD corporate bonds. We maintain our modestly bullish view on the AUD.

Rationale: The market is pricing in a **95% chance** that the RBA will hold rates steady next week, but we expect the messaging to retain a **hawkish bias**, with **inflation risks still lingering**. However, a potentially slowing economy later in 2026 could give the RBA more reasons to refrain from further hikes. We believe **the market has already priced in the 'hawkish hold' narrative**. We reiterate our **Opportunistic buy idea** on AUD corporate bonds to capture still-attractive yields.

For the AUD, a rate hold along with hawkish guidance should remain supportive, but expectations of slower economic growth may temper gains. We remain **modestly bullish on the AUD** and forecast AUD/USD at **0.74** over three months and **0.75** over 12 months.

— **Ray Heung,** *Senior Investment Strategist*

Markets expect the RBA to keep rates unchanged

Market-implied number of 25bps RBA rate cuts/hikes by August and December 2026

Source: Bloomberg, Standard Chartered

After the RBI's decision to leave its benchmark repo rate unchanged at 5.25%, what is your view on India bond yields?

Our view: The yield downtrend is expected to continue for the next few months, aided by the benefits from the RBI's capital inflow measures. Our investment stance favours carry strategies in short- to medium-duration bonds (up to five years), with only a tactical allocation to longer duration, as the long end is expected to be more volatile.

Rationale: The RBI's August 2026 monetary policy meeting kept the repo rate unchanged, maintaining **a Neutral stance but with a dovish tilt**. India's FY27 **growth estimate has been revised upwards** by 10bps, reflecting robust domestic demand conditions and strong exports. The FY27 **consumer inflation estimate has been revised lower** by 10bps as core inflation remained broadly steady. The RBI is likely to **wait and watch** while assessing the monsoon and crude oil data. The case for tightening would become stronger if second-order effects of inflation become visible.

The response to the RBI's recent capital inflow measures has been encouraging, with c.USD 40bn of flows generated via offshore deposit and borrowing schemes and c.USD 8bn of debt foreign portfolio investment (FPI) inflows received over the last two months. Improved liquidity is expected to moderate banks' credit-to-deposit ratios, with **short-end yields drifting lower in the near term**.

Given the steepness of the yield curve, **a tactical allocation towards the long end of the yield curve** is supported by FPI demand, moderating inflation expectations and government borrowing shifting to lower maturities, although **the long end is expected to remain volatile because of oil price volatility**.

— **Shaily Gang**, *Chief Investment Strategist, India*

Response to the RBI's capital inflow measures

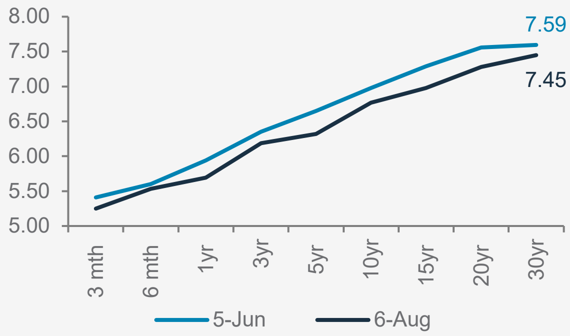
Foreign Currency Non-resident (Bank) (FCNR [B]), Overseas Foreign Currency Borrowing (OFCB) and External Commercial Borrowings (ECB) flows garnered by 31 July 2026

USD bn	31-Jul-26	17-Jul-26
FCNR (B)	36.7	17.4
OFCB	2.6	2.0
ECB	1.5	1.4
Total	40.8	20.8

Source: Press Releases – Reserve Bank of India

Yield curve shifted lower following the RBI's capital inflow measures; further declines expected

Shift in the India government bond yield curve since the RBI's June 2026 policy meeting



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What are the implications of the coordinated US-Japan intervention for USD/JPY, JPY carry trades and Japan equities?

Our view: The coordinated US-Japan FX intervention has strengthened the credibility of official action and should limit sharp speculative rises in USD/JPY. Japan's authorities appear focused on curbing disorderly moves rather than reversing the underlying trend.

Rationale: Japan's official FX intervention has changed near-term market dynamics but has not altered our medium-term JPY outlook. **We still expect one more BoJ rate hike this year**, while relatively high US interest rates should continue to support USD/JPY.

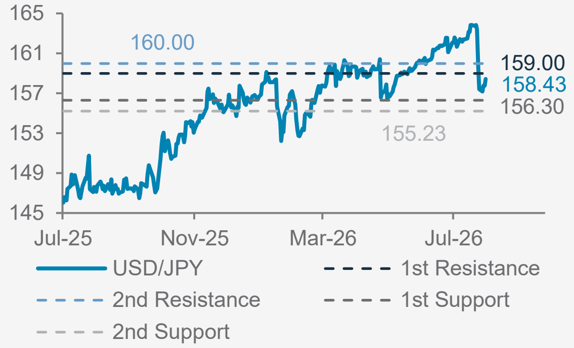
JPY-funded carry trades remain fundamentally attractive, given the still-wide US-Japan interest rate differential, although higher intervention risk may encourage **lower leverage** and **tighter risk management**. Policymakers appear focused on limiting disorderly moves rather than defending a specific exchange-rate level. **Resistance** is expected at 159.00 and 160.00, while **support** lies at 156.30 and 155.23.

We maintain a **Core holding stance** on Japan equities. Consensus 2026E earnings-per-share growth has been revised materially higher amid a **reflating economy** and ongoing **Corporate Governance Code reforms**. JPY volatility introduces a headwind, as c.56% of revenues for MSCI Japan are derived from overseas.

— **Ray Heung,** *Senior Investment Strategist*
— **Jason Wong**, *Senior Equity Analyst*

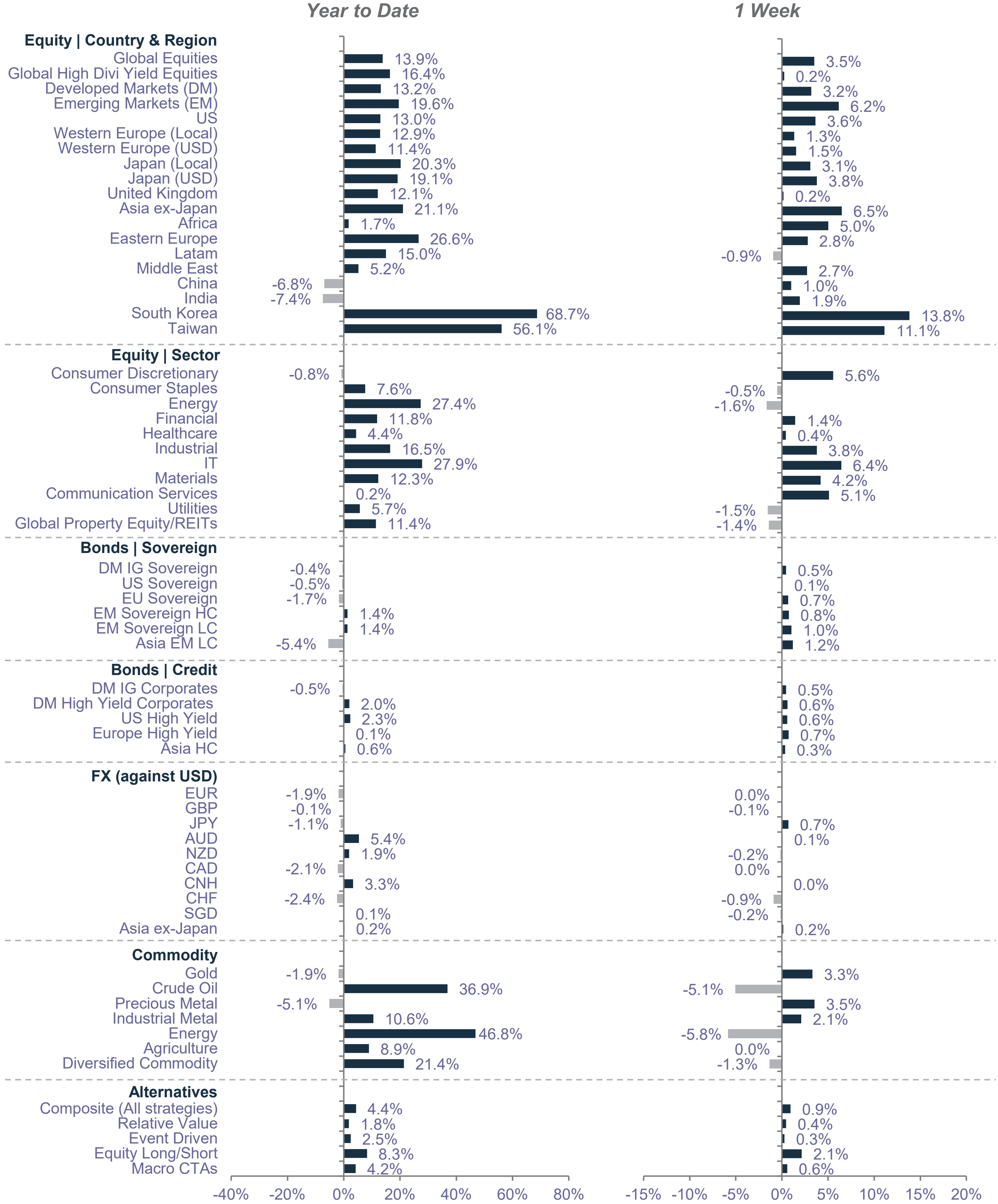
USD/JPY: Market testing higher levels amid intervention concerns

USD/JPY spot exchange rate with key technical support and resistance levels



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 6 August 2026; 1-week period: 30 July 2026 to 6 August 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	Europe ex-UK Financials	▲
Japan	◆	Europe ex-UK Industrials	▲
Other EM	◆	Japan Financials	▲
		China Communication	▲
Bonds	◆	China Technology	▲
Credit		**Govt**	
Asia USD	◆	Govt EM Local	◆
Corp DM HY	◆	Govt DM IG	▼
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
		Gold	◆

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Sentix Investor Confidence	Aug	–	-3.1
TUE	AUD	RBA Cash Rate Target	11-Aug	4.4%	4.4%
	USD	NFIB Small Business Optimism	Jul	–	97.4
WED	USD	CPI y/y	Jul	3.5%	3.5%
	USD	Core CPI y/y	Jul	2.5%	2.6%
THU	GBP	GDP y/y	2Q P	–	0.9%
	USD	Initial Jobless Claims	8-Aug	–	–
	USD	Continuing Claims	1-Aug	–	–
	USD	PPI Final Demand y/y	Jul	–	5.5%
	USD	PPI Ex Food and Energy y/y	Jul	–	4.7%
FRI/SAT	USD	Retail Sales Control Group	Jul	0.3%	0.5%
	USD	U. of Mich. Sentiment	Aug P	54	55.2

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,898

Technical indicators for key markets as of 6 Aug close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,710	7,418	7,898	20.0	1.1
STOXX 50	6,503	6,280	6,627	15.5	3.1
FTSE 100	10,868	10,514	11,106	13.0	3.7
TOPIX	4,056	3,897	4,176	16.5	2.3
Shanghai Comp	3,900	3,736	4,070	12.9	3.2
Hang Seng	25,530	23,890	26,679	10.7	3.4
Nifty 50	24,636	23,903	25,071	18.6	1.8
MSCI Asia ex-Japan	1,094	1,022	1,152	10.4	2.3
MSCI EM	1,659	1,555	1,741	10.1	2.7
Crude oil (WTI)	77.3	66.1	91.0	na	na
Gold	4,239	4,031	4,376	na	na
UST 10Y Yield	4.68	4.52	4.79	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 6 Aug close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.22
Global Equities	●	↑	1.59
Gold	◐	→	1.49
Equity			
MSCI US	●	↑	1.51
MSCI Europe	◐	→	1.49
MSCI AC AXJ	●	↑	1.78
Fixed Income			
DM Corp Bond	●	↑	2.56
DM High Yield	●	↑	1.60
EM USD	●	↑	2.39
EM Local	●	↑	2.06
Asia USD	●	↑	2.05
Currencies			
EUR/USD	◐	→	1.46

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

Access our views 24/7 on key platforms

Market views on-the-go

MVOG

SC Wealth Insights

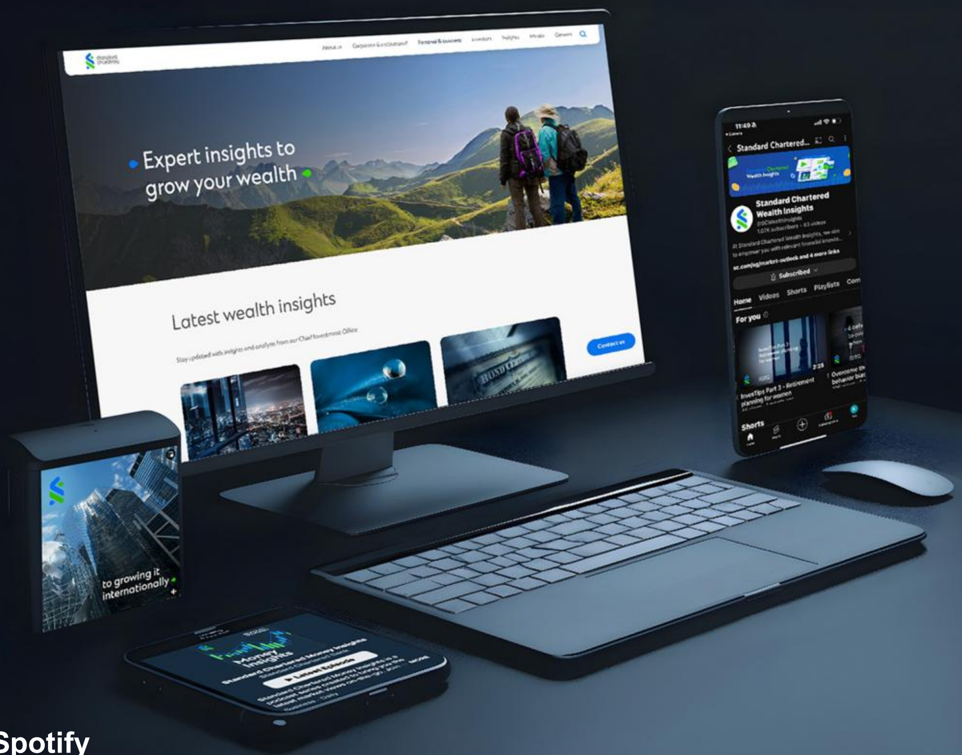
Find out more

YouTube

Facebook

LinkedIn

PvB LinkedIn



SC Money Insights

4 podcasts shows on Spotify and Apple platforms

Spotify

Apple Podcasts

Speak to your Relationship Manager/Investment Advisor today for access to our security specific publications.

Disclosures

This document is confidential and may also be privileged. If you are not the intended recipient, please destroy all copies and notify the sender immediately. This document is being distributed for general information only and is subject to the relevant disclaimers available at our Standard Chartered website under Regulatory disclosures. It is not and does not constitute research material, independent research, an offer, recommendation or solicitation to enter into any transaction or adopt any hedging, trading or investment strategy, in relation to any securities or other financial instruments. This document is for general evaluation only. It does not take into account the specific investment objectives, financial situation or particular needs of any particular person or class of persons and it has not been prepared for any particular person or class of persons. You should not rely on any contents of this document in making any investment decisions. Before making any investment, you should carefully read the relevant offering documents and seek independent legal, tax and regulatory advice. In particular, we recommend you to seek advice regarding the suitability of the investment product, taking into account your specific investment objectives, financial situation or particular needs, before you make a commitment to purchase the investment product. Opinions, projections and estimates are solely those of SC at the date of this document and subject to change without notice. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. The value of investments, and the income from them, can go down as well as up, and you may not recover the amount of your original investment. You are not certain to make a profit and may lose money. Any forecast contained herein as to likely future movements in rates or prices or likely future events or occurrences constitutes an opinion only and is not indicative of actual future movements in rates or prices or actual future events or occurrences (as the case may be). This document must not be forwarded or otherwise made available to any other person without the express written consent of the Standard Chartered Group (as defined below). Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered PLC, the ultimate parent company of Standard Chartered Bank, together with its subsidiaries and affiliates (including each branch or representative office), form the Standard Chartered Group. Standard Chartered Global Private Bank is the private banking division of Standard Chartered. Private banking activities may be carried out internationally by different legal entities and affiliates within the Standard Chartered Group (each an “SC Group Entity”) according to local regulatory requirements. Not all products and services are provided by all branches, subsidiaries and affiliates within the Standard Chartered Group. Some of the SC Group Entities only act as representatives of Standard Chartered Global Private Bank and may not be able to offer products and services or offer advice to clients.

Market Abuse Regulation (MAR) Disclaimer

Banking activities may be carried out internationally by different branches, subsidiaries and affiliates within the Standard Chartered Group according to local regulatory requirements. Opinions may contain outright “buy”, “sell”, “hold” or other opinions. The time horizon of this opinion is dependent on prevailing market conditions and there is no planned frequency for updates to the opinion. This opinion is not independent of Standard Chartered Group’s trading strategies or positions. Standard Chartered Group and/or its affiliates or its respective officers, directors, employee benefit programmes or employees, including persons involved in the

preparation or issuance of this document may at any time, to the extent permitted by applicable law and/or regulation, be long or short any securities or financial instruments referred to in this document or have material interest in any such securities or related investments. Therefore, it is possible, and you should assume, that Standard Chartered Group has a material interest in one or more of the financial instruments mentioned herein. Please refer to our Standard Chartered website under Regulatory disclosures for more detailed disclosures, including past opinions/ recommendations in the last 12 months and conflict of interests, as well as disclaimers. A covering strategist may have a financial interest in the debt or equity securities of this company/issuer. All covering strategist are licensed to provide investment recommendations under Monetary Authority of Singapore or Hong Kong Monetary Authority. This document must not be forwarded or otherwise made available to any other person without the express written consent of Standard Chartered Group.

Sustainable Investments

Any ESG data used or referred to has been provided by Morningstar, Sustainalytics, MSCI or Bloomberg. Refer to 1) Morningstar website under Sustainable Investing, 2) Sustainalytics website under ESG Risk Ratings, 3) MCSI website under ESG Business Involvement Screening Research and 4) Bloomberg green, social & sustainability bonds guide for more information. The ESG data is as at the date of publication based on data provided, is for informational purpose only and is not warranted to be complete, timely, accurate or suitable for a particular purpose, and it may be subject to change. The ESG data providers may not provide data coverage of all companies or securities in our Sustainable Investment Universe or Fund Select funds. As a result, a small subset of companies or securities will not be in scope for exclusionary screening. Sustainable Investments (SI): This refers to funds that have been classified as 'ESG Intentional Investments - Overall' by Morningstar. SI funds have explicitly stated in their prospectus and regulatory filings that they either incorporate ESG factors into the investment process or have a thematic focus on the environment, gender diversity, low carbon, renewable energy, water or community development. For equity, it refers to shares/stocks issued by companies with Sustainalytics ESG Risk Rating of Low/Negligible. For bonds, it refers to debt instruments issued by issuers with Sustainalytics ESG Risk Rating of Low/Negligible, and/or those being certified green, social, sustainable bonds by Bloomberg. For structured products, it refers to products that are issued by any issuer who has a Sustainable Finance framework that aligns with Standard Chartered's Green and Sustainable Product Framework, with underlying assets that are part of the Sustainable Investment universe or separately approved by Standard Chartered's Sustainable Finance Governance Committee. Sustainalytics ESG risk ratings shown are factual and are not an indicator that the product is classified or marketed as "green", "sustainable" or similar under any particular classification system or framework.

Country/Market Specific Disclosures

Bahrain: This document is being distributed in Bahrain by Standard Chartered Bank, Bahrain Branch, having its address at P.O. 29, Manama, Kingdom of Bahrain, is a branch of Standard Chartered Bank and is licensed by the Central Bank of Bahrain as a conventional retail bank. **Botswana**: This document is being distributed in Botswana by, and is attributable to, Standard Chartered Bank Botswana Limited which is a financial institution licensed under the Section 6 of the Banking Act CAP 46.04 and is listed in the Botswana Stock Exchange. **Brunei Darussalam**: This document is being distributed in Brunei Darussalam by, and is attributable to, Standard Chartered Bank (Brunei Branch) | Registration Number RFC/61 and Standard Chartered Securities (B) Sdn Bhd | Registration Number RC20001003. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. Standard Chartered Securities (B) Sdn Bhd is a limited liability company registered with the Registry of Companies with Registration Number RC20001003 and licensed by Brunei Darussalam Central Bank as a Capital Markets Service License Holder with License Number BDCB/R/CMU/S3-CL and it is authorised to conduct Islamic investment business through an Islamic window. **China Mainland**: This document is being distributed in China by, and is attributable to, Standard Chartered Bank (China) Limited which is mainly regulated by National Financial Regulatory Administration (NFRA), State Administration of Foreign Exchange (SAFE), and People's Bank of China (PBOC). **Hong Kong**: In Hong Kong, this document, except for any portion advising on or facilitating any decision on futures contracts trading, is distributed by Standard Chartered Bank (Hong Kong) Limited ("SCBHK"), a subsidiary of Standard Chartered PLC. SCBHK has its registered address at 32/F, Standard Chartered Bank Building, 4-4A Des Voeux Road Central, Hong Kong and is regulated by the Hong Kong Monetary Authority and registered with the Securities and Futures Commission ("SFC") to carry on Type 1 (dealing in securities), Type 4 (advising on securities), Type 6 (advising on corporate finance) and Type 9 (asset management) regulated activity under the Securities and Futures Ordinance (Cap. 571) ("SFO") (CE No. AJI614). The contents of this document have not been reviewed by any regulatory authority in Hong Kong and you are advised to exercise caution in relation to any offer set out herein. If you are in doubt about any of the contents of this document, you should obtain independent professional advice. Any product named herein may not be offered or sold in Hong Kong by means of any document at any time other than to "professional investors" as defined in the SFO and any rules made under that ordinance. In addition, this document may not be issued or possessed for the purposes of issue, whether in Hong Kong or elsewhere, and any interests may not be disposed of, to any person unless such person is outside Hong Kong or is a “professional investor” as defined in the SFO and any rules made under that ordinance, or as otherwise may be permitted by that ordinance. In Hong Kong, Standard Chartered Global Private Bank is the private banking division of SCBHK, a subsidiary of Standard Chartered PLC. **Ghana**: Standard Chartered Bank Ghana Limited accepts no liability and will not be liable for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to feedback.ghana@sc.com. Please do not reply to this email. Call our Priority Banking on 0302610750 for any questions or service queries. You are advised not to send any confidential and/or important information to Standard Chartered via e-mail, as Standard Chartered makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. Standard Chartered shall not be responsible for any loss or damage suffered by you arising from your decision to use e-mail to communicate with the Bank. **India**: This document is being distributed in India by Standard Chartered in its capacity as a distributor of mutual funds and referrer of any other third party financial products. Standard Chartered does not offer any ‘Investment Advice’ as defined in the Securities and Exchange Board of India (Investment Advisers) Regulations, 2013 or otherwise. Services/products related securities business offered by Standard Charted are not intended for any person, who is a resident of any jurisdiction, the laws of which imposes prohibition on soliciting the securities business in that jurisdiction without going through the registration requirements and/or prohibit the use of any information contained in this document. **Indonesia**: This document is being distributed in Indonesia by Standard Chartered Bank, Indonesia branch, which is a financial institution licensed and supervised by Otoritas Jasa Keuangan (Financial Service Authority) and Bank Indonesia. **Jersey**: In Jersey, Standard Chartered Global Private Bank is the Registered Business Name of the Jersey Branch of Standard Chartered Bank. The Jersey Branch of Standard Chartered Bank is regulated by the Jersey Financial Services Commission. Copies of the latest audited accounts of Standard Chartered Bank are available from its principal place of business in Jersey: PO Box 80, 15 Castle Street, St Helier, Jersey JE4 8PT. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter in 1853 Reference Number ZC 18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. The Jersey Branch of Standard Chartered Bank is also an authorised financial services provider under license number 44946 issued by the Financial Sector Conduct Authority of the Republic of South Africa. Jersey is not part of the United Kingdom and all business transacted with Standard Chartered Bank, Jersey Branch and other SC Group Entity outside of the United Kingdom, are not subject to some or any of the investor protection and compensation schemes available under United Kingdom law. **Kenya**: This document is being distributed in Kenya by and is attributable to Standard Chartered Bank Kenya Limited. Investment Products and Services are distributed by Standard Chartered Investment Services Limited, a wholly owned subsidiary of Standard Chartered Bank Kenya Limited that is licensed by the Capital Markets Authority in Kenya, as a Fund Manager. Standard Chartered Bank Kenya Limited is regulated by the Central Bank of Kenya. **Malaysia**: This document is being distributed in Malaysia by Standard Chartered Bank Malaysia Berhad (“SCBMB”). Recipients in Malaysia should contact SCBMB in relation to any matters arising from, or in connection with, this document. This document has not been reviewed by the Securities Commission Malaysia. The product lodgement, registration, submission or approval by the Securities Commission of Malaysia does not amount to nor indicate recommendation or endorsement of the product, service or promotional activity. Investment products are not deposits and are not obligations of, not guaranteed by, and not protected by SCBMB or any of the affiliates or subsidiaries, or by Perbadanan Insurans Deposit Malaysia, any government or insurance agency. Investment products are subject to investment risks, including the possible loss of the principal amount invested. SCBMB expressly disclaim any liability and responsibility for any loss arising directly or indirectly (including special, incidental or consequential loss or damage) arising from the financial losses of the Investment Products due to market condition. **Nigeria**: This document is being distributed in Nigeria by Standard Chartered Bank Nigeria Limited (SCB Nigeria), a bank duly licensed and regulated by the Central Bank of Nigeria. SCB Nigeria accepts no liability for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to clientcare.ng@sc.com requesting to be removed from our mailing list. Please do not reply to this email. Call our Priority Banking on 02 012772514 for any questions or service queries. SCB Nigeria shall not be responsible for any loss or damage arising from your decision to send confidential and/or important information to Standard Chartered via e-mail. SCB Nigeria makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. **Pakistan**: This document is being distributed in Pakistan by, and attributable to Standard Chartered Bank (Pakistan) Limited having its registered office at PO Box 5556, I.I Chundrigar Road Karachi, which is a banking company registered with State Bank of Pakistan under Banking Companies Ordinance 1962 and is also having licensed issued by Securities & Exchange Commission of Pakistan for Security Advisors. Standard Chartered Bank (Pakistan) Limited acts as a distributor of mutual funds and referrer of other third-party financial products. **Singapore**: This document is being distributed in Singapore by, and is attributable to, Standard Chartered Bank (Singapore) Limited (Registration No. 201224747C/ GST Group Registration No. MR-8500053-0, "SCBSL"). Recipients in Singapore should contact SCBSL in relation to any matters arising from, or in connection with, this document. SCBSL is an indirect wholly owned subsidiary of Standard Chartered Bank and is licensed to conduct banking business in Singapore under the Singapore Banking Act, 1970. Standard Chartered Global Private Bank is the private banking division of SCBSL. IN RELATION TO ANY SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT REFERRED TO IN THIS DOCUMENT, THIS DOCUMENT, TOGETHER WITH THE ISSUER DOCUMENTATION, SHALL BE DEEMED AN INFORMATION MEMORANDUM (AS DEFINED IN SECTION 275 OF THE SECURITIES AND FUTURES ACT, 2001 ("SFA")). THIS DOCUMENT IS INTENDED FOR DISTRIBUTION TO ACCREDITED INVESTORS, AS DEFINED IN SECTION 4A(1)(a) OF THE SFA, OR ON THE BASIS THAT THE SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT MAY ONLY BE ACQUIRED AT A CONSIDERATION OF NOT LESS THAN S$200,000 (OR ITS EQUIVALENT IN A FOREIGN CURRENCY) FOR EACH TRANSACTION. Further, in relation to any security or securities-based derivatives contract, neither this document nor the Issuer Documentation has been registered as a prospectus with the Monetary Authority of Singapore under the SFA. Accordingly, this document and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of the product may not be circulated or distributed, nor may the product be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons other than a relevant person pursuant to section 275(1) of the SFA, or any person pursuant to section 275(1A) of the SFA, and in accordance with the conditions specified in section 275 of the SFA, or pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA. In relation to any collective investment schemes referred to in this document, this document is for general information purposes only and is not an offering document or prospectus (as defined in the SFA). This document is not, nor is it intended to be (i) an offer or solicitation of an offer to buy or sell any capital markets product; or (ii) an advertisement of an offer or intended offer of any capital markets product. Deposit Insurance Scheme: Singapore dollar deposits of non-bank depositors are insured by the Singapore Deposit Insurance Corporation, for up to S$100,000 in aggregate per depositor per Scheme member by law. Foreign currency deposits, dual currency investments, structured deposits and other investment products are not insured. This advertisement has not been reviewed by the Monetary Authority of Singapore. **Taiwan**: SC Group Entity or Standard Chartered Bank (Taiwan) Limited ("SCB (Taiwan)") may be involved in the financial instruments contained herein or other related financial instruments. The author of this document may have discussed the information contained herein with other employees or agents of SC or SCB (Taiwan). The author and the above-mentioned employees of SC or SCB (Taiwan) may have taken related actions in respect of the information involved (including communication with customers of SC or SCB (Taiwan) as to the information contained herein). The opinions contained in this document may change, or differ from the opinions of employees of SC or SCB (Taiwan). SC and SCB (Taiwan) will not provide any notice of any changes to or differences between the above-mentioned opinions. This document may cover companies with which SC or SCB (Taiwan) seeks to do business at times and issuers of financial instruments. Therefore, investors should understand that the information contained herein may serve as specific purposes as a result of conflict of interests of SC or SCB (Taiwan). SC, SCB (Taiwan), the employees (including those who have discussions with the author) or customers of SC or SCB (Taiwan) may have an interest in the products, related financial instruments or related derivative financial products contained herein; invest in those products at various prices and on different market conditions; have different or conflicting interests in those products. The potential impacts include market makers' related activities, such as dealing, investment, acting as agents, or performing financial or consulting services in relation to any of the products referred to in this document. **UAE**: DIFC - Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18.The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered Bank, Dubai International Financial Centre having its offices at Dubai International Financial Centre, Building 1, Gate Precinct, P.O. Box 999, Dubai, UAE is a branch of Standard Chartered Bank and is regulated by the Dubai Financial Services Authority ("DFSA"). This document is intended for use only by Professional Clients and is not directed at Retail Clients as defined by the DFSA Rulebook. In the DIFC we are authorised to provide financial services only to clients who qualify as Professional Clients and Market Counterparties and not to Retail Clients. As a Professional Client you will not be given the higher retail client protection and compensation rights and if you use your right to be classified as a Retail Client we will be unable to provide financial services and products to you as we do not hold the required license to undertake such activities. For Islamic transactions, we are acting under the supervision of our Shariah Supervisory Committee. Relevant information on our Shariah Supervisory Committee is currently available on the Standard Chartered Bank website in the Islamic banking section. For residents of the UAE – Standard Chartered UAE ("SC UAE") is licensed by the Central Bank of the U.A.E. SC UAE is licensed by Securities and Commodities Authority to practice Promotion Activity. SC UAE does not provide financial analysis or consultation services in or into the UAE within the meaning of UAE Securities and Commodities Authority Decision No. 48/r of 2008 concerning financial consultation and financial analysis. **Uganda**: Our Investment products and services are distributed by Standard Chartered Bank

Uganda Limited, which is licensed by the Capital Markets Authority as an investment adviser. **United Kingdom**: In the UK, Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. This communication has been approved by Standard Chartered Bank for the purposes of Section 21 (2) (b) of the United Kingdom's Financial Services and Markets Act 2000 ("FSMA") as amended in 2010 and 2012 only. Standard Chartered Bank (trading as Standard Chartered Global Private Bank) is also an authorised financial services provider (license number 45747) in terms of the South African Financial Advisory and Intermediary Services Act, 2002. The Materials have not been prepared in accordance with UK legal requirements designed to promote the independence of investment research, and that it is not subject to any prohibition on dealing ahead of the dissemination of investment research. **Vietnam**: This document is being distributed in Vietnam by, and is attributable to, Standard Chartered Bank (Vietnam) Limited which is mainly regulated by State Bank of Vietnam (SBV). Recipients in Vietnam should contact Standard Chartered Bank (Vietnam) Limited for any queries regarding any content of this document. **Zambia**: This document is distributed by Standard Chartered Bank Zambia Plc, a company incorporated in Zambia and registered as a commercial bank and licensed by the Bank of Zambia under the Banking and Financial Services Act Chapter 387 of the Laws of Zambia.